

Ethiopian Tax Law

Chapter 2

Introduction to the Ethiopian Tax System

In the literature, the term “tax system” is used to denote the nexus between and among tax policies, laws, and administrations.

What are the different types of taxes applicable in Ethiopia?

The Ethiopian legal system provides for two major categories of tax structure: **direct and indirect taxes.**

Currently, at the federal level, the income tax regime is governed by Proclamation No. 979/2016 and Council of Ministers Regulation No. 410/2017. Regional governments also enacted the same laws in their respective jurisdiction.

The income tax laws provide for the taxation of thirteen types of incomes in accordance with five schedules.

1. Schedule A (income from employment)
2. Schedule B (income from the rental of buildings)
3. Schedule C (income from business activities)
4. Schedule D (other income) and
5. Schedule E (exempt income)

The different sources of income are taxed separately and subject to their own tax rates and rules regarding the tax base. **Income sources that fall outside the five schedules are taxed at 15%.** The domestic indirect tax regime includes the Value Added Tax (VAT) and Turnover Tax (TOT), the Excise tax, and Stamp duty. **The VAT and TOT were introduced as complementary sales taxes into the Ethiopian tax system in 2003 through Proclamation No. 285/2002 and Proclamation No. 308/2002 respectively.**

Excise taxes are applied to selected locally produced goods and imported goods, which are identified as hazardous and/or luxurious, through the recently enacted Proclamation No. 1186/2020. Stamp duty is designed to charge selected legal, commercial, and financial instruments through Proclamation No. 110/1998. These domestic direct and indirect taxes are collected by the ministry of revenue or the respective regional revenue bureaus.

-The international trade tax regime includes customs duties, surtax, and withholding tax on imports, VAT, and excise tax on imports. Customs duties are levied on the CIF value of goods imported into Ethiopia in accordance with Customs Proclamation No. 859/2014. It's administered and collected by the Customs Commission division of the federal MoR, and must be paid before the imported items can be released to the importers. Sur tax is a flat rate of 10% levied on the CIF value (plus all customs duty, excise tax, and VAT payable) of selected imported goods through Council of Ministers Regulation No. 133/2007. Withholding tax on imports, VAT, and excise tax on imports are regulated by the Income Tax Proclamation No. 979/2016, the VAT Proclamation No. 285/2002, and the Excise Tax Proclamation No. 1186/2020 respectively.

Tax Policy

Tax policy is the means by which a government is guided in tax legislation and tax administration. Using tax policy, governments determine what taxes to levy, in what amounts, on whom and how, and why to the service grand national objectives such as stimulating economic growth, augmenting social development, and nation-building at large.

There is no national document called tax policy unless read from the different federal and regional tax laws and other policies of the government. Most referred periodic policy documents such as the Growth and Transformation Plans (GTP I & II) (2010-2020) and the new 10-year development plan (2020- 2030) don't adequately address the tax policy issues.

Setting a predictable tax administration and tax administration institutions are crucial parts of a tax system. Building a unified, professional, technological, and autonomous revenue body is an important unit of the tax system.

Tax Administration covers a broad area of the tax system including identification and registration of taxpayers, the investigation, assessment, litigation or collection of tax liability.

In terms of federal-regional share, the federal government collects about 72% of national revenue, 54% of domestic direct tax, and 73% of domestic indirect tax while regional states collect only 28%, 46%, and 27% respectively.

The legal and institutional factors include poor tax culture, huge tax incentives/ exemptions, high tax evasion, tax avoidance, administrative limitations, corruption, illicit financial flows, hostility between taxpayers and tax officials, etc.

2.1 The Source and Organization of Tax Laws in Ethiopia

Well drafted and logically organized tax laws are critical for the proper understanding and implementation of a tax system.

The well-drafted tax law has to meet some interrelated criteria such as understandability, organization, effectiveness, and integration. i.e. tax laws should be simple to read and follow, avoid legalistic languages, and organized with a clear numbering of sections and sentence structure, etc.

The second criterion of organization concerns both the internal organization of the law (including numbering and chapterization) as well as its coordination with other tax laws.

The third criterion underlines the need to consider the law's policy implication, interpretation, enforcement, and relation with other laws. The fourth criterion requires that a new tax law must be fully integrated into and consistent with the rest of the legal system.

Taxation is a fast and frequently changing or most dynamic area of law. Attracted by its comparative advantages, countries that do not have tax codes have opted for what is known as consolidation. Consolidation is nothing but a careful organization and archival of separate tax laws with cross-references that virtually achieve the same result as the tax codes. Organizing tax laws in a coded form is not always desirable. Ethiopia has not attempted to organize the tax laws since modern tax laws were introduced in the 1940s.

The rampant fragmented tax reforms and the successive amendment to tax laws can be mentioned as one of the reasons that prevent codification or consolidation efforts. Currently, the tax laws of Ethiopia are found scattered not just in different tax laws but also in other laws of the country. The investment law, which contains tax incentives, is a good example in this regard. The field of Ethiopian tax legislation is chaotic, disorganized, uncoordinated, and worse, making it difficult for an average taxpayer or tax expert to make sense of her obligations under the various tax laws in force. Because tax laws are uncoordinated, most tax legislations repeat certain provisions as if they were not already provided for in other tax legislations.

2.1.1. Source of the tax law

The first source of law is the constitution. As the supreme law of the land, from which other laws take validity, the constitution decentralizes taxing power across tiers of government, sets limitations on taxing power, and provides for taxpayers' rights.

The FDRE Constitution assigns revenue powers into four headings:

1. Revenue belonging to the federal government (federal power of taxation),
2. Revenues belonging to regional governments (state power of taxation),
3. Revenues jointly owned by both (concurrent power of taxation), and
4. New revenue sources (undesigned powers of taxation).

Secondly, tax proclamations, international tax treaties, and regulations are important sources of tax law from which most substantive and procedural rules pertaining to taxation flow.

International tax treaties that have been ratified by Ethiopia have a similar status to the tax proclamations. **What if there is a conflict between the two?** According to Article 48 of the Income Tax Proclamation, the tax treaty shall prevail except when the treaty provides an exemption, exclusion, or rate reduction.

The third area of tax law is tax directives, which are the lowest level in the Ethiopian legislation hierarchy.

The fourth possible sources of Ethiopian tax laws are **advance rulings**. These are **tax authority statements or explanations on specific issues**.

Sixthly, the role of **administrative publications**, tax guides, tax forms, and public notices as a source of tax law cannot be overlooked. Voluminous administrative commentaries, manuals, guides, and circular letters to assist in tax administration. It is mainly issued by tax authorities for an easy understanding of tax laws. Their main aim is to facilitate law enforcement.

Finally, **tax cases** are a growing source of tax law. Proclamation No. 454/2005 provides decisions of the cassation division, rendered by no less than five judges, are binding on all federal and state courts at all levels.

2.2 Taxation in the Ethiopian Systems of Fiscal Federalism

Fiscal decentralization (also known as fiscal federalism) deals with three major issues of public finance: allocation of expenditure responsibilities, the allocation of revenue-raising power, and the adjustment of fiscal imbalances (vertical or horizontal) through intergovernmental fiscal transfer.

As can be evidently observed from the revenue and expenditure assignments addressed in the Constitution, the lucrative (profitable) sources of revenue in Ethiopia are assigned to the federal

government while a wide range of expenditure responsibilities are reserved for the regions.¹ This resulted in a significant vertical fiscal imbalance between the federal and regional governments.

As common in other federal systems, the constitution recognizes types of transfers (conditional and unconditional to lower tiers of government).²

Borrowing is another mechanism for deciphering the imbalance and meeting deficits.

Borrowing can be from internal or external sources. In Ethiopia, it is the federal government that has the power to borrow from abroad, and regional or local governments are not allowed to borrow from abroad. Regional governments borrow internally from banks to meet the cash flow timing problem with the permission of the federal government.

2.3 The Structure of Taxation Power in Ethiopia

The method of allocation of revenue in federal systems is theoretically intended to follow the division of the expenditure responsibilities in order to accomplish the power and function assigned to each level of government.³

The sharing or distribution of revenues between central and state governments is principally intended to enable all levels of governments efficiently carry out their respective duties and responsibilities.

The methods employed by federations can be summarized into three: **exclusive power of taxation, concurrent power of taxation, and shared power of taxation.**

Shared power of taxation means the constitutional reservation of the power to levy taxes to the federal level, but it guarantees the states' right to some or all of the proceeds from specific taxes.

The FDRE Constitution provides exclusive revenue sources under the title “federal power of taxation”, “state power of taxation”, “concurrent power of taxation”, and “undesignated power of taxation”⁴

Although the titles refer to the “**power of taxation**”, strictly speaking, they do not only deal with taxes as the list also includes other non-tax revenues like fees, charges, rents, and others.

¹ Art. 94(1) of the constitution states, the Federal Government and the States shall respectively bear all financial expenditures necessary to carry out all responsibilities and functions assigned to them by law. Unless otherwise agreed upon, the financial expenditures required for the coming out of any delegated function by a State shall be borne by the delegating party.

² A conditional transfer from a federal body to a province, or other territory, involves a certain set of conditions. If the lower level of government is to receive this type of transfer, it must agree to the spending instructions of the federal government.

³ Solomon Negussie, Supra Note 24

⁴ See Articles 96, 97, 98, and 99 respectively under constitution

The constitution allocates revenue powers based on the tax sources not on the tax bases.⁵ Except for custom duties and land use fees, a specific tax is not assigned to either of the governments exclusively.

Tax sources: are the types of activities or transactions that are subject to taxation, while

Tax bases: are the specific items that are taxed. For example, income tax is a tax source, and wages are a tax base. Sales tax is a tax source, and the sale of goods is a tax base.

A. Federal Power of Taxation

According to Art 96(1), the federal government has the power to levy and collect customs duties, taxes, and other charges on imports and exports. It seems universal in federations that customs duties are exclusively given to the federal government. This is attributable to the fact that import and export businesses are licensed and regulated by the federal government.

Tax on foreign trade is a major source of revenue in Ethiopia and the reservation of such resources to the federal government enables income redistribution and equalization schemes effective.

Employment income taxes (also known as payroll tax)

Public enterprises, such as banks, insurance companies, Telecommunication Corporation, the Electric Power Corporation, the Post Office, the Petroleum Corporation, sugar industries, government farms, etc, are taxable.

It should be noted that the shift from state ownership to the privatization in sources of these four types of income would give rise to a shift in tax power from the federal government to the states. For instance, the tax on the employees of government owned enterprises and houses is expected to shift as a result of the ongoing privatization program.

B. State Power of Taxation (art 97)

Unlike the federal government, the states have no exclusive tax bases assigned to them by the FDRE Constitution. Since the federal taxation power exhaustively listed.

There are sales and excise taxes reserved for the states. However, the exclusive power of the states is restricted in some cases since some individual traders are subject to federally administered VAT law.

⁵ What is the difference between tax base and tax source

C. Concurrent power of Taxation (art 98)

Under art 98 what the phrase “jointly levy and collect” connotes is that each level of government cannot levy and collect these taxes independently. While the *term levy* refers to a legislative function, the word “collect” is to refer the administrative function of receiving money from the taxpayers.

The question that remains difficult to answer is how both the federal and states can jointly levy and collect taxes at the same time as the literal interpretation of the law dictates.

This also creates the problem of tax competition between the federal government and states. It might also produce a serious inconvenience to the taxpayers, a greater possibility of tax evasion, and inefficient administration which may have a direct consequence on the law and limited revenue source of the country.

For these reasons, it is said that the Constitution has been “amended” by the joint meeting of the HoF and HPRs. Accordingly, the power to levy and collect tax sources listed under Article 98 is assigned to the federal government and the proceeds are compulsorily shared with the states.⁶

The revenue-sharing scheme instructs the Federal Government to share with the Regional States 50% of the proceeds of profit and dividend taxes, 30% of the indirect taxes, and 40% of the mineral taxes. In 2020, the formula is revised as 50%- 50% for all types of taxes.

Contradictions:

Under Art 98(1) English version talks about only companies while Amharic version reads, Dirjit

Under art 98(2) while the English version specifically refers to revenue from company profit tax and tax on dividends due to shareholders, the Amharic version includes sales tax. Excise tax is not mentioned in either version, which seems to be “a slip of the pen” and is actually levied on products or the sale of companies.

D. Undesignated Power of Taxation

The constitution has envisaged the possibility of the coming existence of new tax bases and provides for undesignated power of taxation.

Article 99 of the Federal Constitution stipulates that any undesignated taxation power has to be designated by a Joint Session of the HF and HPRs with two-third majority votes.

⁶ Is this amendment constitutional?

- The different types of taxes such as gift tax, inheritance tax or death duties, real property tax, environmental tax, hotel occupancy tax (tourist tax), highway tax, etc. which are found in some other countries are still residual or undesignated taxes in Ethiopia.

The Tax Assignments In Ethiopia Are Not Made On A Tax Base.

What the phrase “other properties” refers to under art 97(6) of constitution?

As per the Amharic version of Article 97(6), this refers to income derived from renting houses and other movable properties.

Federal Houses in making decisions regarding the assignment of undesignated tax power should consider both the national and state interests, the nature of the tax, and its impact. In addition, they have to take into consideration the principle laid down under Art.95 which says *“the federal government and the state shall share revenue, taking the federal arrangement into account”*. **This means tax power should follow expenditure responsibility.**

E. The Issue of Local Taxation in Ethiopia

The very challenge in the Ethiopian federal system is that local governments don't have constitutional space for both expenditure responsibility and revenue powers. Both are apportioned between the federal and regional governments.

Federal Constitution allocates all the revenue powers to the federal and regional governments only, it is regional Constitutions and other enabling legislation that are expected to allocate taxation powers between the regional and local governments. **Accordingly Regional constitutions grant rural districts the power to collect agricultural income tax and land use fees.** And, urban revenue regulations grant the power to collect lease payments, land rental fees, and other forms of municipal revenues to urban local governments.

2.5 Limitations on Powers of Taxation

The exercise of taxing powers may affect the right to property, equality, privacy, freedom of expression, speech, religion, etc or might goes into conflict with the tax powers of other governments. Therefore art 100 put limitations.

Let us see some most important principles to the exercise of taxation powers.

1. Principle of legality

It emanates from the public nature of tax law and it means many things.

First, it requires taxation (imposition or exemption) must have a legal basis. If there is no law there will not be an obligation to pay tax.

Second, the principle underlines that the legislature has supremacy over tax matters. I.e. there shall only be limited delegation (only where necessary) and **no delegation to the executive on some basic or essential elements of the tax** such as **tax base, rate, exemption, and incentive** that increase or reduce tax liability. See art 55(1). However, in practice, the parliament makes too liberal and extensive use of delegation in tax legislation.

Thirdly, the principle dictates that no public money shall be collected except when authorized by law.

2. Principle of Fidelity to Sources of Taxes

The principle serves two purposes i.e. protection of taxpayers from the risk of double taxation and avoiding conflict of jurisdiction. It is recognized under Article 100 (1) of the FDRE Constitution. Both Federal and State Governments shall ensure that any tax is related to the source of revenue taxed.

3. Intergovernmental Immunity and Duty not to Cause Adverse Impact

Article 100(3) states that neither the Federal Government nor the Regional States can impose taxes on each other's property unless the property is a profit-making enterprise.

4. Principle of Non-Discrimination

The limitation prohibits the imposition of different tax rates and tax privileges between the states. The significance of this limitation is that **the people of different states should not be exposed to unfair treatment** by the federal government on the pretext of the inequality of the states.

However, the constitution of Ethiopia requires the governments to provide special assistance to those states which are least advanced in economic development. For instance persons who invest by establishing new enterprises in states such as Gambela, Benishangul-Gumuz, Somali, and Afar are granted an exemption for a period of five years. However, in other states, the same investments are encouraged only by three years exemption.

5. Procedural Fairness and the Benefit Principle

The "*Benefit Principle*" is a well-known and established principle in taxation literature Under Art. 100 (2), the rate and amount of taxes shall be commensurate with services the taxes help deliver. However, it is extremely difficult for taxpayers to challenge a tax on the ground that they receive no benefits.

Chapter Three

The Law of Income Tax in Ethiopia

The Schanz-Haig-Simons' definition of income, which is also called **the concept of the comprehensive income tax base** is regarded as the **most influential definition of income** in the tax world. It conceives income as *'the sum of the person's consumption plus accumulation during the taxable period'*. Income is broadly defined to include the amount of how much a person could spend on consumption in a given period without reducing their net assets (wealth)

Imputed income is a type of **non-cash** or **in-kind income** that is derived from goods owned and used by the taxpayer. The essential characteristic of imputed income is that the taxpayer received the income from his or her property.

In a barter transaction, a taxpayer may receive a non-cash benefit in return for services rendered. Though the benefit is in-kind, it does not fall within the meaning of imputed income as it is derived from the other party to the transaction.

When **the word 'income'** is used by the income tax laws, it **represents an economic benefit that is capable of being expressed or measured in terms of money**. Non-economic benefit, which is difficult to measure in monetary terms, is not considered income since it does not have a monetary value.

As regards its form, the income may be derived either in cash or in-kind. The awarding of houses, vehicles, and mobile phones to winners of lottery games and employee **fringe benefits** are typical examples of in-kind incomes. The income tax laws contain valuation rules to compute the monetary value of the in-kind benefits and determine the amount of taxable income.

The Income Tax Proclamation (No. 979/2016) provides the following definition of income that applies to the income tax laws in general. **Income means every form of economic benefit, including nonrecurring gains, in cash or kind from whatever source derived and in whatever form paid, credited, or received**

An income may be derived from whatever source; this does not mean that an income from whatever source is taxable. There are specific legal provisions that exclude some sources of income from the reach of the tax. **For example, an income derived from a personal gift or inheritance is an exempt income in Ethiopia.**

The taxability of illegal income (income from illegal activities), such as contraband, ransom, drug, and gun trafficking) **is a source of debate in taxation.** There are supporters as well as opponents of the taxation of illegal incomes.

It may be argued that illegal income should be taxed under Article 63 of the Income Tax Proclamation (No. 979/2016) based on two grounds.

1. While defining income, the Proclamation does not require the source to be a lawful source.
2. Illegal incomes are not found in the list of exempt incomes.

But, one can raise a strong counter-argument based on the objective and rules of the criminal law of Ethiopia.

The taxation of illegal income amounts to encouraging illegal activities. It is against the public policy of the country. **The Criminal Code of Ethiopia states that** *when criminals derive an economic benefit from their criminal activities, the court shall impose a fine and order the confiscation of the profit made by the criminal.*

The words ‘...derived and in whatever form paid, credited, or received’ are relevant to know the timing for the realization of income and the existence of a duty to pay income tax. A given economic benefit is recognized as an income and subject to tax when it is derived by a person (taxpayer). **If the income is not derived, there will be no duty to pay income tax.**

The deriving of an income may occur in various forms- as demonstrated by the words paid, credited, or received. It includes not only the **actual receiving** of an income (such as cash) by a person but also the existence of **constructive receipts** or the right to receive an income. For example, an income credited to the taxpayer's bank account is deemed to be derived by the taxpayer even if he/she does not withdraw or physically possess it. *This is called the doctrine of constructive receipt.*

Constructive receipt is an accounting or tax concept/doctrine that indicates the time when a person has received an income. It does not require physical possession of the income in question.

A person is assumed to have received an income if the income is made available to the person so that he/she can get it at any time, particularly before the end of the tax year.

The main purpose of recognition of constructive receipts as a taxable income is to prevent tax evasion or unreasonable delay of payment of tax by taxpayers.

How the tax concept of income treats loans?

A person that borrowed money from a lender is not regarded as deriving an income. Money received as a loan is generally not considered income because it is subject to an equal and offsetting obligation to pay back the loan.

If the lender waives the borrower from paying the loan, it will create a different scenario and tax consequence. When a creditor or lender relieves the borrower from paying all or a portion of the debt, it is called cancellation of debt. Unless exempted by tax or other laws, canceled debt is considered a taxable income.

The following are relevant terminologies that are used in income tax laws, including our Income Tax Proclamation (No. 979/2016).

Gross Income: refers to the total amount and type of income of a person that is subject to income tax, without deduction of expenses. It does not include those incomes that are specifically exempted by laws.

The ITP No. 979/2016, define gross income as a total taxable income without deduction of expenses and inclusion of exempt income. *Gross income is used as a parameter for classifying taxpayers into categories A, B, and C.*

Though the principle is to impose a tax on net income, an income tax may be imposed on the gross income in some specific cases. **The tax base of many taxable incomes of Schedule D is the gross income of the taxpayers.**

Taxable Income: is defined as the gross income of the taxpayer less (minus) the total deductions allowed to the person for a given tax period.

Taxable Income indicates a person's increase in an economic capacity and hence it is used as an income tax base upon which an income tax rate is imposed. **On the contrary**, gross income does not reflect the true financial capacity of taxpayers. **Deduction of expenses** is justified **on the ability-to-pay principle of taxation**, *"Taxes should be imposed in consideration of the ability to pay of taxpayers."*

Deductions: are amounts that are specifically allowed as subtractions from gross income. **Deductions may be characterized as expenses, and losses.** Expenses are expenditures that are incurred to derive the taxable income. They may be classified as **ordinary (revenue)** and **capital expenditures**.

Ordinary expenditures are short term-expenses that are incurred to cover the day-to-day operational costs of the taxpayer's activities. E.g. Wages paid to employees, and utility costs, such as water and electricity costs.

Capital expenditures are those expenses **incurred in acquiring capital assets** that can be used for more than one tax period (year). Tangible assets, such as **machinery, vehicles, buildings, land**, and intangible assets, such as patents or licenses, are the main examples of capital assets.

Losses are amounts that result when expenses exceed gross/taxable income.

Income tax systems allow deduction of expenses that are incurred in connection with deriving the taxable income. By contrast, there is a denial of deduction of expenses of

1. Personal nature, which is incurred for purposes other than deriving the taxable income,
2. Policy-motivated ones, such as fines, bribes, taxes, pension contributions, political contributions.

Exempt Income: If income is exempted from tax, it will not be taxed. Governments exempt some kinds of income for different reasons.

First, welfare or pension payments, scholarships, injury compensations, and income earned by institutions like religious, charitable, or educational institutions are the usual examples of incomes that are exempted from tax **on socially motivated grounds**.

Second, it may be the case that an income may be exempted for economic reasons. Income tax holidays are offered to investors **to encourage investment activities**.

Third income tax exemption by the international level, e.g. the exemption of diplomatic communities from the payment of employment income tax in the host states originates from the Vienna Convention on Diplomatic Relations.

The exemption of diplomatic communities from the payment of employment income tax in the host states originates from the Vienna Convention on Diplomatic Relations. The exempt incomes are neither added to gross income nor separately subject to income tax.

Some of the exempt incomes are:

- A payment made by an employer to cover the medical expense of its employee/s
- Transportation allowance paid by an employer to its employees as per their employment contract.
- Hardship allowance

- Per diems and transport allowance paid to an employee traveling on a tour of duty
- Employment injury compensations paid to employees
- A scholarship or bursary for attendance at an educational institution
- Salary paid to domestic servants

Why Tax on Income?

Justifications: As is common with all taxes, an income tax is an important source of revenue for states. It generates revenue for the states to cover their expenditures. Several developed and developing states raise the largest part of their tax revenues from income taxes.

The more specific justifications for the levying of income tax are:

1. **Income** is regarded as the best indicator of the ability to pay of persons. The amount of income derived by persons indicates their economic capability. Through proportional or progressive tax rates, taxpayers pay income tax in a proportion of their income. **Imposing a tax on the income of persons conforms to the ability-to-pay principle of taxation.**

The indirect taxes are imposed on goods and services **with no regard to** the economic status or capacity of persons bearing the taxes. They raise the price of consumable goods and services in the same way for both the rich and poor. Indirect taxes **like sales taxes** fall on the rich and poor with equal force. They raise the price of consumable goods and services in the same way for both the rich and poor. **An income tax is more equitable than a tax on consumption or expenditure.**

2. **An income tax** is also recommended for income and wealth distribution. By adopting progressive tax rates, a state can collect more income taxes from the rich and then spend the collected income taxes on pro-poor public projects.

Disadvantages of an income tax: Common to direct taxes, the tax is criticized for **discouraging persons from working and earning income**. An income tax that increases tax liability with the increase of income affects persons' will to work and save more money.

Income Tax Jurisdiction Principles

States' power of taxation is one of the attributes of their sovereignty. The taxing power, which encompasses the ability to impose and collect taxes, needs to be exercised within the taxing jurisdiction of states.

States cannot exercise their taxing powers in the absence of jurisdiction to tax. **It became an accepted norm that states' taxing powers should have some sort of connection with taxable subjects (persons) and**

objects. The connection is thought to exist if the states' taxing power is based on either the relationship to a person (personal attachment) or a territory (territorial attachment). This thought has led to the formulation of the two famous **income jurisdiction principles: the residence and source principles.** Today, *these principles are serving as the main criteria to create nexus between states' income tax powers and taxable persons, transactions, and objects.*

1. Residence Principle

According to the residence principle, the state where a person resides shall have the right to tax the income of that person (artificial or physical). **This principle asserts that persons shall pay tax in the state in which they establish their residence, regardless of the place where the income is derived.**

Different criteria are used to determine whether or not a state is the place of residence of persons.

For Natural Person	For Artificial Person	
Nationality, physical presence, domicile, or related concepts are frequently applied to determine their residence status.	Places of registration (incorporation), or the seat of the management of the body or effective control is exercised	...are the common indicators of their residence. The residence principle: grants taxing power to the state of residence based on the justification that <i>persons shall share the public expenditure (costs) of the state where they live.</i>

2. Source Principle

It is the place where the income is derived that matters. The state where an income is derived shall have the right to tax the income, irrespective of the place where the persons reside. Hence, non-residents of a state shall have the obligation to pay tax if they derive income in that state.

Justification for source principle: state that creates the opportunity to generate an income should be given the right to tax that income.

For instance, an employment income is derived at the place where the employment service is exercised.

Permanent Establishment is a well-known concept that is widely used by tax laws to determine whether or not non-resident artificial persons (bodies) derive income in source states. **Generally speaking, it is defined as a fixed place of business that creates an income tax liability on non-resident bodies.**

In practice, most states apply a combination of residence and source principles.

They establish taxing powers over;

1. the worldwide income of residents (i.e. income derived in residence/home as well as foreign states) and
2. Incomes of non-residents' that are derived from sources/activities within the territory of the state.

Since states do not have uniform jurisdictional rules, the same person or income could be subject to the taxing powers or imposition of taxes by two or more states. **This creates the possibility of double taxation.**

For example, the same income may be taxed by one state based on the residence principle while another state based on the source principle. Alternatively, due to the various ways of definition of 'residence', the same person may be considered a resident person by two or more States. This also leads to double taxation.

Ethiopia employs a combination of residence and source principles to delimit the jurisdictional reach of its income tax power. According to the Income Tax Proclamation (2016), it has the power to levy income tax on:⁷

- Resident taxpayers with respect to their worldwide income
- Non-residents with respect to their Ethiopian source income:

An individual (natural person) is regarded as a resident taxpayer of Ethiopia if he/she complies with one of the following tests:

- **The Domicile Test:** An individual becomes a resident taxpayer if he/she is domiciled in Ethiopia. "Domicile" of an individual is the place where the individual has a permanent home.⁸
- **The Citizenship test:** This test has a narrow scope of application as it is concerned with those Ethiopian citizens that are consular, diplomatic, or similar officials posted abroad.
- **The Physical Presence Test:** Any individual that is present in Ethiopia, continuously or intermittently, for more than 183 days in one year, is regarded as a resident taxpayer of Ethiopia.

Concerning bodies (artificial taxpayers) there are two alternative tests for their residence status.

⁷ For the international double taxation avoidance mechanisms, see tax treaties. For the unilateral (domestic) double taxation avoidance mechanisms, see supra note 5, Articles 45, 46 44, and Article 7

⁸ Technical Notes of the Federal Income Tax Proclamation (No. 979/2016), Ministry of Finance, p. 27, still it's not satisfactory. It does offer an answer to basic questions like what constitutes a permanent home. It is recommended to refer to the Civil Code of Ethiopia to fill the definitional gap. See art 183 Civil Code

- It is incorporated or established in Ethiopia (incorporation test): Business organizations are deemed to be incorporated in Ethiopia when they are formed under the commercial laws of the country.
- Its effective seat of management is in Ethiopia: The test for determining the effective seat of management is whether or not the top decision-makers of a body hold their meeting in Ethiopia. For example, shareholders and the board of directors are the top decision making persons of companies. If they hold their meeting in Ethiopia, then the company shall be regarded as a resident of Ethiopia.

Resident taxpayers are taxed on their worldwide income. That means, their income derived in and outside Ethiopia is under the taxing power or jurisdiction of Ethiopia.

If the status of an individual taxpayer does not pass one of the domicile, citizenship or physical presence tests, he/she is a non-resident taxpayer.

Non-resident taxpayers are liable to pay tax to Ethiopia only with respect to their Ethiopian source income. It is not the place where the income is paid that makes it either foreign or Ethiopian source income.⁹ For example, irrespective of the place where the income is paid to the non-resident, the following events make the income an Ethiopian source.

- The conduct of the income-generating activities, such as employment, business, sporting activities, and chance winnings, in Ethiopia
- The disposal or lease of assets, such as buildings, located in Ethiopia

For a non-resident body, there is an additional and important requirement for the attribution of an income as Ethiopian source income. The non-resident body shall derive the income through its permanent establishment in Ethiopia. A permanent establishment means the stable and ongoing presence of a foreign body in a given state.

Permanent establishment is a fixed place of business through which the business of a person is wholly or partly conducted.¹⁰ The word ‘fixed’ is used to require a certain degree of permanence in the place of the business. A non-resident body is presumed to establish a permanent establishment in Ethiopia if it has a building or construction site that continues for more than 183 days.¹¹

⁹ The Income Tax Proclamation (2016) provides different and alternative tests for determining whether or not the income of a non-resident taxpayer is an Ethiopian source income.

¹⁰ The Income Tax Proclamation (No. 983/2016), art 4

¹¹ Ibid, Article 4(2) (c)

The different interpretations and combined use of the residence and source principles lead to double taxation of an income. However, the tax treaties and Income Tax Proclamation of Ethiopia provide double tax avoidance mechanisms.¹²

Also the regional states should resolve the problem by incorporating proper income tax jurisdiction rules (Proclamation (No. 979/2016) in their tax legislation. See The Amara NRS Income Tax Proc., No.240/2016, Articles 4, 5, 6.

NOTE the advancement of digital technology further complicates the traditional concepts of residence and source principles. People can interact, do business, and derive income without a physical presence in source states. Therefore States should consider the redefinition of the residence and source principles so broadly to include the digital presence of persons and transactions in their territory.

3.4 Income Tax Systems: Global, Schedular, and Mixed

Two theoretical models exist for designing income tax systems. Many states employ the combinations of both.

1. Global income tax mode

One in which a single income tax is imposed on the sum of all taxable incomes of a person, irrespective of their nature and source. The taxable income and tax liability are assessed on the aggregate of all incomes minus deductible expenses if any. The model is advantageous based on equitable (?) and, to some extent, administrative grounds, e.g. If the taxpayers have multiple sources of income, they need not prepare and file a separate tax return for each income.

- ✚ It requires a strong tax administration with the capacity to identify and aggregate multiple incomes from different sources.

2. The schedular income tax model

Imposes separate income taxes on different types of income. Incomes are separated by their sources, such as employment, business, etc, and subjected to different schedules (tax rules). It employs distinct rules of deduction and exemption or exclusion for each income. The tax rates, assessment, and collection mechanism may vary from schedule to schedule.

¹² See, Tax treaties ratified by Ethiopia as well as the Federal Income Tax Proclamation (Supra note 5) Articles 45, 48; Income Tax Regulation (Supra note 23) Article 25

- ✚ The main advantage of schedular income tax model is that its enforcement requires less administrative resources than the global income tax model.

Downsides of Schedular tax model: A given type of income may fall in two or more schedules. This creates overlapping of schedules.

In practice, the existing income tax systems do not follow the pure either global or schedular model. The so-called global income tax systems contain some schedular elements and most existing [schedular] income tax systems lie on the spectrum between schedular and global.

A Basic Introduction to the Income Tax System of Ethiopia

Income tax is an important fiscal policy tool in Ethiopia. It is among the major sources of revenue for the federal and regional governments.

The first publicly known and modern income tax law was issued in 1944. It introduced a schedular income tax system to the country, which continues to date. **It imposed income taxes on employment and business, as separate sources of taxable income.** It is believed that Ethiopia borrowed the schedular income tax model from Great Britain.

The key features of the Ethiopian income tax system

- 1. The Ethiopian income tax system exhibits the characteristics of schedular income tax system.** The main income tax system of the country (excluding the agricultural income tax system) contains four tax charging schedules: Schedules A, B, C, and D. **Each Schedule has its tax base, tax rate, assessment, and collection methods.**
- 2. Division of taxation power between the federal and the regional governments.** Concerning income taxes, the two tiers of governments exercise either an exclusive or concurrent taxing power depending upon the constitutional provisions (Articles 96-99). **The federal government uses schedule A of the Income Tax Proclamation to impose and collect employment income tax from employees of its institutions and international organizations.** The regional governments apply the same schedule to employees of their institutions and employers other than the federal institutions and international organizations.

If the business organization is owned by either the federal or regional governments, the government that owns the organization has the exclusive right to levy and collect the business income tax from it.

As per art 99 the joint houses decided the federal government levy income tax from interest paid by banks to money depositors.

3. The existing income tax laws of Ethiopia are found primarily in proclamations, regulations, and directives. **In terms of their content, it is difficult to make a distinction between the federal and regional income tax laws.** The federal laws incorporate rules on those income taxes that are under the exclusive jurisdiction of the regional governments. E.g. the income taxation of individual traders is the exclusive tax power of the regional government, as per art 97/4 of constitution. However federal income tax laws, contain provisions that determine the assessment and collection methods of income tax from these taxpayers.

On the other hand, the regional governments are in the habit of direct transplantation of the federal income tax laws. They simply copy and apply the federal laws to collect the regional income taxes.

“The one area of taxation powers where the regional governments have shown some legislative muscle is in the agricultural income taxes, presumably because these taxes are the exclusive preserve of the regions” Taddese Lencho

The two justifications for the direct adaptation of the federal income taxes by the regional governments.

- I. Legislative weaknesses of the regional governments, the regional governments do not have the required tax experts and drafters. Hence transplantation is the appropriate solution.

II. Means of tax harmonization

4. Taxpayers that derive incomes from two or more sources that fall under the same schedule are taxed on the aggregate of their incomes. Called the income aggregation rule and it applies to Schedules A, B and C. The aggregation rule is important for two things. **First**, it is one of the means to ensure equity of the tax system. **Second**, it helps to prevent tax avoidance and erosion of the tax base.

The income aggregation rule does not apply to Schedule D as there are separate taxable incomes and tax charging rules in the Schedule. For instance, dividends and income from lottery winnings cannot be aggregated and taxed under the same tax rate. They are subject to different tax rates.

The classification of taxpayers into Category A, Category B, and Category C is the other important categorization of taxpayers. This classification is very relevant for Schedules B and C. **By employing**

annual turnover and legal form (i.e, body vs sole proprietorship) as criteria, the Income Tax Proclamation defines the three categories of taxpayers

- ✓ **Category “A”** taxpayers are bodies, irrespective of the amount of their annual turnover, and individuals (such as sole proprietors) with having an annual gross income of Birr 1,000,000 or more.
- ✓ **Category ‘B’** taxpayers are individuals having an annual gross income of Birr 500,000 or more but less than 1,000,000.
- ✓ **Category ‘C’** taxpayer individuals having an annual gross income of less than Birr 500,000

Category A and B taxpayers shall have the duty to keep books accounts and they are subject to the self-assessment rule. Category C taxpayers do not have the legal obligation to keep books of accounts. They are assessed based on a presumptive assessment method.

3.6 Schedule A: Employment Income Tax

Also called Payroll Tax, Pay-As-You-Earn (PAYE), Pay-As-You-Go (PAYG) tax, Wage-Earners tax, etc.

The employer is required to withhold the employment income tax from its employees. The tax is assessed on the gross income and there is little room for the application of deduction rules. Due to the application of the withholding system, employment income tax is easy-to collect tax revenue. It claims little compliance and administrative costs.

The withholding scheme is an effective method for securing an uninterrupted and reliable revenue sources. By reducing tax evasion.

If a deduction of employees’ expenses is allowed, there will be a difficulty of demarcating the line between employment-related expenses and other personal expenses. Also it will require tax authorities to spend a disproportionate amount of administrative resources.

Income tax systems like Ethiopia apply an exemption rule concerning employment-related expenses. The Income Tax Proclamation (2016) contains some lists of employment-related payments that are exempted from tax.

3.6.1 The Taxable Units (Taxpayers) of the Schedule

An employee is an individual that performs work under the control of the employer. Individuals that hold directorship or managerial positions, government appointees, and elected officials are regarded as employees. Managers of companies, judges and parliamentarians are examples of persons that are treated as an employee for the purpose of income tax.

On the other hand, independent contractors are different from employees. The existence or not of substantial control over the manner of performance of an activity is the requirement for the treatment of a worker as either employee or independent contractor.

The Income Tax Proclamation (No. 979/2016) defines an independent contractor as *an individual engaged to perform services under an agreement by which the individual retains substantial authority to direct and control the manner in which the services are to be performed.*

An independent contractor is considered self-employed and hence is subject to business income and indirect tax rules.

Because independent contractor status reduces the compliance costs of clients, there is a general tendency among the employers to treat their workers as independent contractors rather than employees. Financial gains of independent contractors are primarily subject to Schedule ‘C’

The Proclamation does not tell us the specific components and parameters of the control. According to the Technical Note of the Income Tax Proclamation *the determination of whether an individual is an employee or independent contractor involves examining several factors*, including whether the hirer has the legal right to control how the work is done and the degree of integration of the activities of the individual in the business of the hirer.

The definition of employer is broader than that of an employee as it incorporates both natural (individual) and artificial (body) persons.

3.6.2 The Tax Base of the Schedule

As per Income Tax Proclamation, (No. 979/2016) employment incomes are

- ✓ salary, wages, an allowance, bonus, commission, gratuity, or other remuneration received by an employee in respect of a past, current, or future employment;
- ✓ **Fringe benefits**, refers to extra benefits that are derived by the employee from the employment. It's like payments made up on termination of an employment contract. These include payments instead of unutilized annual leave, severance payments, and compensations for unlawful termination by the employer.
- ✓ Examples of fringe benefits are health insurance, employer-provided housing, and the use of the employer's car for personal purpose, and the provision of discounted goods to employees. *The taxation of fringe benefits is justified on equity and tax base widening grounds.*

Justifications for the taxation of fringe benefits

On the equity ground: Employees earning the same amount of income, but in different forms, should be subject to the same tax liability. For example, it is against horizontal equity to impose a tax on an employee that receives a 10,000 birr wage and exempt another employee that receives an in-kind employment benefit worth 10,000 birr

On tax base widening ground: the non-taxation of fringe benefits affects the tax base. In addition, it could motivate taxpayers to evade tax liability by shifting their remuneration, such as salary and wages, into fringe benefits.

The basic criterion to characterize a given payment as an employment income, the employment relationship should be the main reason for the payment. Any payment made in non-employment context does not fall within the scope of employment income.

Exempted incomes, within the limits set by the applicable directives, payments made to cover the medical expenses of the employees, transportation allowance, hardship allowance, and per diems are exempted from employment tax. An employment income received by foreign diplomats is not taxable in Ethiopia. Compensation for employment injury is not subject to employment income tax. See art 65 of income tax procl. 2016

3.6.3. The Income Brackets, Tax Rates, and Computation Methods

There is no tax for the first 600 Birr employment income of employees.

Employment Income (per month) Birr	Employment Income Tax Rate
0 –600	0%
601-1,650	10%
1,651-3,200	15%
3,201-5,250	20%
5,251-7,800	25%
7,801-10,900	30%
Over 10,900	35%

If the employee works for multiple employers, the tax liability is assessed on the aggregate of the employment income. The exemption amount of 600 Birr is not applied to each income source/salary. The result is that the amount of tax on the aggregated income is greater than the tax on its parts.

When advance payment, back payments, severance fees, compensation, and other similar benefits are received from single employment, it is important to apportion the income/benefits to the months it covers. Let's assume that the employee received a total back payment of 120,000 Birr for the service rendered in the past 12 months. The employment income tax shall be calculated by prorating the 120,000 Birr over 12 months period. The back payment is presumed to be derived in the months when the employment is exercised. When the 120,000 Birr is divided into 12 months, the monthly employment income becomes 10,000 Birr.

3.6.4. The Declaration and Payment of Employment Income Tax

A tax declaration, which is also called a **tax return**, means a disclosure of tax information in an approved form and a manner provided by tax laws or tax administration.

It is through tax declaration that taxpayers report the amount of gross income, deductions, losses, refunds, tax payable, and related issues to the tax authorities. The payment of tax is effected following the filing of tax declarations. In Ethiopia, failure to declare and pay tax within the time set by the applicable tax laws results in administrative and criminal penalties.

Employment income tax is due when the employee receives employment income actually or constructively. See Article 2(19) of the Proclamation, E.g. an employee is treated as having constructively received the income once it is made available for collection. *If an employer deposits the income (salary) in the bank account of the employee, the tax law regards that the employee has received it.*

The withholding system is the principal tax assessment and collection tool of Schedule A. Even if employment income tax is paid from the pocket of the employee, the employer has to withhold the tax from the payment made to the employee. As a withholding agent, the employer must assess, collect, declare and pay (submit) the tax to the tax authority.

In two exceptional cases, employment income tax is subjected to self-assessment.

1. Some employers are exempted from withholding duty by law. The Vienna Convention provides that diplomatic organizations (embassies and consulates) have no duty to withhold tax from their non-tax exempt workers, such as administrative staff and private servants. The specific examples are secretariats, record officers, drivers, and guards. These employees have a self-withholding obligation.
2. An employee may derive employment incomes from two or more employments. In this case the Income Tax Proclamation provides two scenarios.

- a. If one of the employers is aware of the multiple employments, it shall withhold the tax based on the aggregate employment income.
- b. If the employer is not aware of the multiple employments and the tax is not withheld based on the aggregated employment income, the employee shall have the duty of self-assessment.

3.7 Schedule B: Income Tax on Rental of Buildings

Ethiopia is an example of a country that sets up a separate tax schedule for the rental of income from buildings. Renting buildings is a business activity as it involves an economic activity conducted for financial gain.

The existing tax policy documents and laws of Ethiopia do not specify the justifications for the separate treatment of rental income from buildings under Schedule B. It is not clear why income from the rental of buildings is not regarded as a business income and is taxed under the schedule governing business income tax.

Rental income becomes taxable when the taxpayer ‘derived’ income from the rental of buildings.

Accrual and cash-based accounting are the two common methods that accountants use to prepare financial statements of businesses.

- In accrual-based accounting, an income is recorded when a product or service is delivered to a customer with the expectation that money will be paid in the future. Expenses of goods and services are recorded despite no cash being paid out yet for those expenses.
- In cash-based accounting, an income is recorded only when cash is received. Expenses are only recorded when cash is paid out.

3.6.5. The Taxable Units (Taxpayers) of the Schedule

Rental income tax is imposed on ‘a person renting out a building or buildings who has taxable rental income for the year.

The tax obligation is imposed on the person that (1) leased the building to the lessee, and (2) received the rental income for the year.

The person that rents the building may be a body or an individual person. A body is defined as a “company, partnership, public enterprise or public financial agency, or other body of persons. The treatment of partnership as a body is a distinct feature of the Ethiopian income tax system. In many foreign income tax systems, partnerships are not taxable entities. Instead, they are treated as conduit entities. This implies that the tax liability flows through the partnerships to the partners.

3.6.6. The Tax Base of the Schedule

Taxable rental income is the tax base of Schedule B. it defined as

*Gross amount of income derived by the taxpayer from the rental of a building for the year **reduced** by the total amount of deductions allowed to the taxpayer for the year.*

Unlike employment income tax, rental income tax is imposed on the net rental income of the taxpayer. The net rental income is the difference between the amounts of annual gross rental income and deductible expenses. So, **the rental income tax base is a net concept.**

As noted, the deduction of expenses is allowed to arrive at the taxable rental income. See Art Article 15(7) proclamation No. 979/2016

...deduction shall be allowed for any expenditure to the extent necessarily incurred by the taxpayer in deriving rental income and paid during the year.

The costs of acquisition, renewal, improvement, and reconstruction of the leased building/s are deductible expenses.

For Category A and B taxpayers, books of accounts (records) are used as the main data source to determine the amount of gross income and deductible expenses. The Income Tax Proclamation requires these taxpayers to maintain records of the derived rental income, fees and charges, acquisition and improvement costs of the buildings, and other costs incurred to derive the rental income.

For the purpose of Schedule B (and C as well), expenses (expenditures) are classified into ordinary and capital expenses. **Ordinary expenses**, such as insurance premium, land lease fee, municipality charges, and utility costs, are directly deducted from the gross annual rental income of the tax year. m

Capital expenses, such as costs incurred for the acquisition, repair, and maintenance of the leased building/s, furniture and equipment, are subject to depreciation rules.

Depreciation is a cost (expense) recovery mechanism of capital assets that are used for deriving taxable income. It is used to allocate the cost of the asset over the supposed useful life of the asset. The depreciation rules allow both the taxpayers and tax administration to know the amount/portion of capital expenses to be deducted in each tax year.

The straight-line method is the most common way, including in Ethiopia, of calculating depreciation. Accordingly the annual depreciation is calculated as

Annual Depreciation= depreciation base x depreciation rate

Illustration: A taxpayer purchased machinery to be used for its business at the cost of 8 million Birr. The applicable income tax law provides that the taxpayer shall deduct 10% of the cost of machinery in each tax year. The taxpayer is allowed to deduct 800,000 Birr in one tax year (i.e, 8 million x 10%). It will take a total of 10 years to fully deduct the 8 million Birr cost. This is what depreciation means and how it works.

Capital expenses are not deducted at once from the gross rental income of the year. They are apportioned to many years as per the depreciation method.

According to Ethiopia's income tax laws, buildings are defined as part of structural improvement and depreciated at the rate of 5%. This means that the total capital cost would be deducted within 20 years.

The total annual expense of the taxpayer is a sum of ordinary expenses and capital expenses for the year.

Category C taxpayers do not have the legal obligation to keep books of accounts. **Category C taxpayers are presumed to be micro and small businesses** with a difficulty in keeping books of accounts and deriving a small amount of income. As a result, the Income Tax Proclamation introduces a special rule called **presumptive tax**, that allows both the taxpayer and tax administration to know the amount of allowed expenses in the absence of books of accounts.

Depreciation and loss carry forward rules do not apply here.

Renting a building is the source of taxable rental income under the Schedule B.

According to the Building Proclamation of Ethiopia, a building refers to a permanent or temporary construction used for the purpose of dwelling, office, factory, or any other purpose. An income derived from the rental of movable and immovable properties, other than buildings, will fall outside the scope of Schedule B.

If renting out the properties (other than buildings) is the main (business) activity of a person, Schedule C will apply to tax income derived from such operations.

If a property is leased '**casually**', the income derived from the casual rent is not taxed under Schedule B or C, but under Article 58 of Income Tax Proclamation (2016).

3.6.7. The Income Tax Brackets, Rates, and Computation Methods

In Schedule B (as well as C), the income tax brackets and rates are set in consideration of the classification of taxpayers into bodies and individuals. For bodies, there is no tax bracket at all. Irrespective of the amount of their taxable income for the year, they are taxed at the flat tax rate of 30%.

For individuals, there are 7 income tax brackets. Unlike Schedule A which sets the tax bracket on monthly basis, the tax brackets of Schedule B are fixed on an annual basis,

Taxable Rental Income (per year) Birr	Rental Income Tax Rate
0 -7,200	0%
7,201-19,800	10%
19,801-38,400	15%
38,401-63,000	20%
63,001-93,600	25%
93,601-130,800	30%
Over 130,800	35%

Source: Federal Income Tax Proclamation ((No. 979/2016)), Article 15

For Category A and B taxpayers, which could be either bodies or individuals, the computation of their annual rental income tax liability is illustrated by the following hypothetical example.

Given: The acquisition cost of building= 2 million Birr

- Municipality Fee paid to the government (annual)= 1500 Birr
- Land Lease paid to the government (annual) = 1000 Birr
- Water Bill (annual) = 1000 Birr
- Monthly rent income= 10,000 Birr

Required: Rental Income Tax for the Year

Solution:

- Gross Income of the year= 120,000 Birr (10,000 Birr x 12)
- Deductible Expense for the year= 103,500 Birr [Ordinary expenses (1500+1000+1,000) + Capital (100,000: i.e 5% of 2 million as depreciation)]

• **Taxable Income=**

If the taxpayer is a body= 16,500 Birr (120,000- 103,500)

If the taxpayer is an individual= 9000 Birr (120,000- 103,500- 7200)

Rental Income Tax=

If the taxpayer is a body= 4950 Birr (16,500 x 30%)

If the taxpayer is an individual=930 Birr (9,300 x 10%)

3.6.8. Declaration and Payment of Rental Income Tax

Unlike the case of Schedule A, **self-assessment is the principal assessment method for Schedule B**. Except for limited cases, whereby lessees could be required to withhold rental income tax, it is the duty of the lessor (taxpayer) to assess, declare and pay the rental income tax to the government.

The Income Tax Proclamation (No. 979/2016) makes it clear that tax declarations shall be filed to the tax authority within

- 4 months from the end of the tax year (for Category A taxpayers)
- 2 months from the end of the tax year (for Category 'B' taxpayers)
- 1 month (Hamle) from the end of each fiscal year of the government (for Category 'C' taxpayers)

If Category A or B taxpayer is an individual (natural) person, the tax year begins on Hamle 1 and ends on Sene 30. For Category A taxpayers, the tax declaration shall be made within Hamle 1 to Xiqimt 30 while for Category B within Hamle 01- Nehassie 30.

If Category A or B taxpayer is a body, the law allows the taxpayer to adopt its tax (accounting) year that may begin and end at different times than the above.

For example, a company may set its accounting year in accordance with a Gregorian calendar. The tax year begins and ends on January 1 and December 31 respectively. Since Category C taxpayers are individuals and are not allowed to set their tax year, the tax declaration shall always be filed within the month of Hamle. For instance, a tax declaration for 2014 E.C (Hamle 01, 2013 to Sene 2014 E.C), must be filed within Hamle 01 to 30, 2014 E.C.

For Category A and B taxpayers, it is mandatory to accompany tax declaration with documents. The taxpayers shall submit records showing income and expenses, including the book value of the building.

A tax declaration is always required whether or not the taxpayer's annual gross income exceeds the deductible expenses. Even if the taxpayer experiences a loss, a tax declaration must be filed within the time set by the law.

The duty to pay tax is due only when the gross rental income exceeds the expenses or when there is taxable rental income. Unless the declaration is amended or rejected by the tax authority for different reasons the taxpayer shall pay the amount of tax specified in the declaration.

The taxpayer shall pay the tax within the due date (period) of the tax declaration. For example, a category C taxpayer shall pay the tax within the 30 days of Hamle.

Like the case of tax declaration, there are legal consequences for failure to pay the required amount of tax within the prescribed time. Such as the payment of tax due, interest, administrative and criminal penalties. Also measures, such as seizure and sale of properties, to recover unpaid taxes.

Finally, attention should be given to the following issues that are relevant to Schedule B.

Subleasing: It may happen that a lessee may sub-lease the building to another person called, sub-lessee. In this case, the lessee becomes a sub-lessor and the tax implication is governed under Article 16 of the Income Tax Proclamation (Sub-leasing). The sub-lessor is liable to pay tax on the net rental income received from the sub-lessee. **The following are deducted from the rental income of the sub-lessor.**

- The total rental income paid by the sub-lessor to the lessor and
- The total expenses necessarily incurred by the sub-lessor to derive rental income.

Lease of Business: In contrast to subleasing of a leased building, leasing an existing business, with all its equipment including buildings does not attract income tax under Schedule B. For instance, a person that operates a supermarket may lease it to another person under a lease contract. The income from the lease of the supermarket is taxed under Schedule C, not B.

The Applicability of Income Aggregation Rule under Schedule B: If a person leases two or more buildings, the rental income tax liability of the person **shall be** calculated on the aggregate of the rental income of the buildings. For a person who derives income from different sources, one falling under schedule B and the other under another schedule, the aggregation rule does not apply. For example it is a common practice for hotels to **provide catering and room services** for their customers. In the light of the schedular income tax system of Ethiopia, the hotels' income from the renting of rooms shall be separated from other incomes of the hotels, and shall be taxed under Schedule B.

Chapter Four

4.1 Schedule C: Business Income Tax

Schedule C consists of the general and special parts.

The general part contains the common provisions (Articles 18-35, and 45-50) and applies to all taxpayers that engage in business activities.

The **special part** governs the income taxation of a specific category of taxpayers- persons engaged in mining and petroleum operations (contractors and licensees). It covers Articles from 36 to 44. The general part applies to the contractors and licensees concerning those tax matters that are not regulated by the special part.

The obligation to pay business income tax is created when the taxpayer derives the business income.

4.1.1 The Taxable Unit (The Taxpayers) of Schedule

Business income tax is imposed on a person (physical or legal body) conducting a business. Companies, partnerships, public enterprises, and other forms of bodies are defined as a body under Tax Administration Proclamation. **Although cooperative societies** have their own legal personality and are regarded as a body, they are exempted from paying income tax under Schedule C. The exemption is made not, by the Income Tax Proclamation, but by the Cooperative Society Proclamation. **The purpose of the exemption is to encourage cooperative societies.**

Schedule C contains one distinct rule with regard to Micro Enterprises. Even if the enterprises fulfill the definitional elements of body, they pay business income tax as per the tax rates of individual taxpayers. **Encouraging the enterprises seems to be the reason behind it.**

Business is defined as any industrial, commercial, professional, or vocational activity conducted for profit. The duration of the business activity does not affect its qualification as a business for income tax purposes.

Activities that are not regarded as commerce by the Commercial Code of Ethiopia could be treated as commercial activity as far as they are undertaken with a profit motive.

Industrial activity refers to the processing of raw materials and manufacturing intermediate or finished goods.

Professionals are defined as those persons who earn their living from performing an activity that requires a certain level of education or specialization. Such as medical practitioners, pharmacists, chartered accountants, engineers, and teacher.

A vocational activity also involves the application of skill. But, attending higher or specialized education is not required. The acquisition of a vocational skill may be through specialized training. The conduct of a builder, electrician, or plumber are examples.

4.1.2 Tax Base of the Schedule

A business income (or an income that is derived from business activity) is the tax base of Schedule C. The source of the income must be ‘businesses’.

Like the case of Schedule B, the tax in Schedule C is not imposed on the gross business income of the person. Rather, it is imposed on the taxable business income, which is the difference between the gross business income and deductible expenses of the person.

See pp136-138 on TM

The main rationale for the treatment of recaptured depreciation as business income and the imposition of tax on it is that the taxpayer has got the right to deduct the capital expense (cost) under the capital gain tax rules (Article 59). It is not justified to allow the taxpayer another deduction of expense for the same asset under the business income tax rules. Hence, the cost of the building that had been recovered in the form of depreciation must be recaptured and treated as an income and taxable under Schedule C.

Once the gross income is determined, the next step is assessing the type and amount of the deductible expenses.

It is the underlying rule that any expenditure is deductible to the extent necessarily in deriving, securing, and maintaining amounts included in business income.

There are two important components of the rule of cost deduction.

1. The existence of a sufficient connection between the expenditure and the derivation of business income
2. The ‘extent’ criterion, a given expenditure may be incurred to drive both business and non-business income at the same time. A deduction is allowed with respect to that part of the expenditure relating to the derivation of business income.

In addition to the basic rule/principle of deduction, we have positive limb (allowable) deductions, negative limb (prohibited) deductions, and limitations on those deductible expenditures.

The Positive limb deductions include,

- **Cost of trading stock**, the cost incurred in connection with the trading stock is a deductible expense.
- **Costs of capital assets** since the assets have a useful life above one year; the costs incurred in connection with the assets should be allocated in more than one year by the depreciation rule.

- **A loss on disposal of a business asset** (other than trading stock): The loss refers to the amount of cost (net book value) of the asset above or in excess of the consideration (gross gain) derived at the time of disposal of the asset.
- **Interest for loans:** Taxpayers may borrow money to run their businesses. The Income Tax Proclamation allows the deduction of interest if the loan is used to derive business income.
- **Charitable donations:** The deductibility of donations has nothing to do with deriving business income. The Income Tax Proclamation includes donations in the list of deductible expenses to promote socially desirable behavior.

The following shall be fulfilled to legally deduct donations:

1. The donation shall be made to an Ethiopian entity defined or recognized by the Charities and Societies Proclamation (No.621/2009),
2. The donation shall be made in response to development or an emergency call made/issued by the Government
3. The amount of allowable (deductible) donation shall not exceed 10% of the taxable income of the taxpayer for the year. If the taxpayer donates more than 10% of its annual taxable income, the amount of donation in excess of the 10% of the taxable income will not be deductible.

To find taxable income, first determine the amount of gross income, then deductible expenses, and finally taxable income.

Capital expenditures are deductible as per depreciation rules of the Income Tax Proclamation. They are not deductible by other means. Dividends generated by the business are profits or incomes, not expenses. Dividends are not deductible expenses.

Insured losses are not deductible because they will be compensated by the insurance providers.

4.1.3 The Income Tax Brackets, Rates and Computation Methods

Schedule C employs similar income tax brackets and rates to that of Schedule B. The only difference lies in the applicable tax rate on Micro Enterprises. The computation methods of gross income, deductible expenses, taxable income, and business income tax in Schedules B and C are similar.

Category A and B taxpayers are required to keep books of accounts. Hence, the numerical data that are relevant to determine their tax liability are derived from their books of accounts.

If the amount of deductible expenditures exceeds the amount of gross business income, the taxpayer experiences a loss. **Loss carry forwards rule apply** to allow the taxpayer to deduct the loss from future

income. **Tax loss carry forwards extend for the maximum of the next five tax years.** A loss incurred in one tax year cannot be carried forward for more than five tax years.

If the taxpayer incurs another loss in a different tax year, another five-year loss carry forward period applies to this loss as well. But, the taxpayer is not permitted to carry forward if he/she incurs further losses for the third or more times. Such losses will not be deductible from the future income of the taxpayer.

For taxpayers that report on an **accrual basis**, it may happen that an income that is included and recorded as taxable income may not be actually collected. For example, the taxpayer may sell his goods on credit and the buyer may fail to pay the price of the goods as per their agreement. In this case, the sale is recorded as income (since the accrual method requires the taxpayer to include it in the income before the actual receipt), but the taxpayer did not actually receive it. In this case the taxpayer may be entitled to a deduction for the bad debt or irrecoverable debt if the conditions under article 30 of income Tax Proclamation fulfilled.

If the debtor pays the bad debt at a later time, the bad debt so paid is reported as an income per Article 73 of the Proclamation. **Bad debt provisions are found only in Schedule C.** Taxpayers of other schedules, even if they account as per an accrual basis, cannot have the right to deduct bad debts.

For Category C taxpayers, a presumptive tax assessment is used to determine the amount of gross income, deductible expenses, taxable income, and the business income tax.

Depreciation rules, loss carry forward, and bad debt rules do not apply to the Category C taxpayers.

The income tax liability of the majority of Category C taxpayers is determined as per the estimation of daily sales method.

4.1.4 Declaration and Payment of Business Income Tax

In both schedules (A & B), the classification of taxpayers into categories A, B, and C determines when and how to declare and pay tax to the tax administration.

For category A and B taxpayers, there is an additional obligation of accompanying the declaration by balance sheet and profit and loss statement.

The taxpayers declare their tax liability after determining the amount of gross income, deductible expenses, and the final tax dues. Hence, self-assessment is an integral and implied part of the tax declaration.

4.1.5 Taxation of the Extractive Industries: Mining and Petroleum Income Tax

The oil and mining sectors are usually called the extractive industries as they involve the extraction of raw materials from the earth followed by the processing and selling of the products to the end consumers.

The federal and regional governments of Ethiopia have two fiscal roles concerning natural resources, such as mining and petroleum. The FDRE Constitution states that it is the joint power of the federal government and regional states to levy and collect income tax on all petroleum and large-scale mining operations. The regional states have the exclusive right to levy and collect income tax on small-scale mining operations.

4.1.5.2 Taxation of Mining and Petroleum Operations under the Federal Income Tax Proclamation (No. 979/2016) (art 36-44)

Contractors are persons (taxpayers) that contract with the government to engage in mining and petroleum operations they pay tax on their net income.

The Income Tax Proclamation (No. 979/2016) provides rules on two types of capital expenditure by licensees and contractors: development expenditure and exploration expenditure.

Development expenditures are defined as intangible capital expenditures that are incurred in connection with activities that are authorized under a mining license or petroleum agreement. These include social infrastructure expenditures and expenditures incurred acquiring an interest in a mining right or petroleum agreement, and mining or petroleum information.

Exploration expenditures refer to expenditures incurred in connection with exploration operations, including exploration information and social infrastructure expenditures that are incurred in related exploration. Like development expenditures, exploration expenditures are confined to intangible expenditures; **depreciable assets are expressly excluded from its scope.**

Exploration expenditures are deducted at once from the annual gross income of the licensee or contractor.

After the deduction of expenses from the gross income, the net income (profit) will be taxed at the rate of 25%. *The tax rates specified in Article 19 of the Proclamation will not have an application to contractors and licensees.*

4.2 Schedule D: Other Income Taxes

Schedule D is distinguished from the remaining schedules in many aspects. There is no general and single source of income/income that represents the schedule.

Schedule D represents miscellaneous types of income. Most of the incomes are traditionally called **passive income**. Unlike an active income, **passive income is a type of income whereby the taxpayer does not engage significantly to derive the income**. The taxpayer has no active participation in the activity that serves as the source of the income.

The dividend paid to the shareholders is an example of passive income. Interest on loans and royalties on intellectual property are the other examples of passive income.

Unlike Schedules A, B, and C, Schedule D **contains flat tax rates and no distinction is made** between body and individual taxpayers for the purpose of the tax rate. The tax rates are not the same for the miscellaneous incomes.

In some cases, the classification of the taxpayer into resident and non-resident status determines the applicable tax rates.

The minimum tax rate in the Schedule is 5%. It applies to incomes like royalties. The maximum tax rate is 30% and it applies to **capital gains derived from the disposal of shares and bonds**.

The schedule is a larger umbrella that covers distinct and independent sub-schedules. Since each sub-schedule has its tax rate, **income aggregation rules do not apply to Schedule D**.

There is no either a monthly or annual tax year under Schedule D. **The tax liability is due whenever a payment of income is made to the taxpayers**.

Self-assessment applies with respect to taxation of income from casual rents (Article 58), capital gains (Article 59), windfall profits (Article 60), undistributed profits of bodies (Article 61) repatriated profits (Article 62), and other incomes (Article 63). The tax assessment, declaration, and payment shall be made by the taxpayers themselves.

The remaining types of incomes are taxed based on final withholding rules. The payers of the taxable income shall withhold the tax from the payment they made to the taxpayers and submit the same tax to the government. To illustrate, companies shall withhold an income tax on the dividends they pay to their shareholders.

If an income that is taxable under Schedule D is also subject to tax under one of the other Schedules (A, B, or C), then the income will be taxed under the latter and not under schedule D. This rule is designed to apply for those situations in which either Schedule A or B or C taxpayers derive schedule D income in connection with their core functions/ businesses.

4.2.1 Taxation of Income of Non-residents

Non-residents pay income tax on their income derived in Ethiopia. The taxable unit (taxpayer) of non-resident tax is a non-resident taxpayer without a permanent establishment in Ethiopia.

For the purpose of application of non-resident tax, being non-resident is not sufficient. **The taxpayer must derive the taxable income without establishing a permanent establishment in the country.** If the income is derived through a permanent establishment, the tax is imposed per other rules. For example, if the income is a dividend, Article 55 of the Income Tax Proclamation will apply.

The tax base of the non-resident tax is the gross income derived from limited sources of income. The tax is imposed on dividends, interest, royalties, management fees, technical fees, or insurance premiums. **There is no deduction of expenses.** The tax base is not subject to the same tax rate. Depending upon the type of income, a different tax rate applies.¹³

- 5% for an insurance premium or royalty
- 10% for a dividend or interest
- 15 % for management or technical fee

The duty to pay non-resident tax arises when the non-resident taxpayer derives one of the above incomes.

The non-resident tax is assessed and submitted to the tax administration by the payer of income, which may be either a resident person or a non-resident person with a permanent establishment in Ethiopia.

Non-resident tax is subject to a withholding system.

This withholding mechanism is justified because the taxpayer has no permanent establishment in Ethiopia. The withheld tax is paid to the tax administration within 30 days after the end of the month in which the income was paid. **Failure to withhold the tax brings personal liability on the payer of income.**

Note that the withheld tax will not be offset from the annual tax liabilities of the taxpayer. If the taxpayer derived two or more dividends within a year, the tax is assessed and paid separately for each payment.

4.2.2 Taxation of Non-Resident Entertainers

Entertainers are those persons or groups of persons whose work is to please or amuse their audience. When non-resident entertainers derive income from their entertainment performance in Ethiopia, they are required to pay an income tax that is equal to **10% of the gross income derived** from the performance. In

¹³ For the definitions of dividend, interest, management fee, royalty, and technical fee, see Articles 2(6), 2(16), 2(17), 2(20) and 2(23) of Federal Income Tax Proclamation (No. 979/2016).

the case where the entertainer's income is received by another person, the same tax liability rests on that person, see art 53 of income tax proclamation. **No deduction is allowed with respect to the fees (income).**

Since the musicians are non-residents, the Proclamation applies a final withholding mechanism on the fees/gross income of the entertainers. The duty to withhold the tax is imposed on the person that makes the payment to the entertainer/s, e.g. it would be **Entertainment Company**. However, this person shall be either a resident of Ethiopia or a non-resident with a permanent establishment in Ethiopia. **The withholding agent shall submit the withheld income tax to the tax authority within 30 days after the end of the month in which the income was paid to the entertainer.**

The Proclamation does not contain a separate and explicit provision for the income taxation of resident or Ethiopian entertainers. It is by way of interpretation of the scope of the existing schedules that we can find a place for them. There are two lines of arguments regarding this matter.

- The entertainers should be treated as employees and then placed under schedule A.
- Treat the entertainers as independent contractors and to apply Schedule C to tax their income.

4.2.3 Taxation of Royalties

Article 54 of the Proclamation is concerned with the income taxation of holders of intellectual property rights, not royalty received for use of natural resources. This is evidenced by the proclamations' definition of royalty that restricts itself to incomes derived from the exploitation of intellectual property rights; see Article 2(20). An income derived by artists and authors from the sale of music albums and books respectively is an example of income tax is taxed under this section.

Both residents and non-residents with a permanent establishment in Ethiopia are liable for an income tax at the rate of 5% on the gross amount of the royalty. There is no deduction for expenses as the tax is imposed on the gross income (royalty).

If the royalty is paid by residents or non-residents with a permanent establishment in Ethiopia, then the tax is assessed and submitted to the tax authority **per the withholding system**.

If the payer of royalty is a non-resident without a permanent establishment in Ethiopia, the duty to pay income tax on the royalty is confined to residents and the latter shall have the duty of self-assessment. The tax shall be calculated and submitted to the tax authority by the residents (receivers of the royalty).

4.2.4 Taxation of Dividends

Scholars advance various approaches on the type of income tax system that should be applied to legal entities, such as companies, and their shareholders.

- I. **Classical (disintegrated) tax system;** the entities and their shareholders shall be treated as separate taxable persons and taxed separately. The system imposes two income taxes;
 1. **corporate income tax**, when the entities make profits, a tax on the profit of the entities applies
 2. **Dividend tax**, when profits are distributed to shareholders, the income tax generated.

The system is criticized for creating double taxation. The criticism holds that the system taxes the same income twice; first at the entity level and second at the shareholder level.

- II. **The integrated (imputation) tax system** that advocates for the taxation of the entities only, not the shareholders. The tax paid at the entities' level is presumed as a tax paid by the shareholders.

The Proclamation levied a withholding income tax on dividends at the rate of 25%. The Income Tax Proclamation of 2016 defines **a dividend as a distribution of profits by a body to its members**. This means that a distribution which is a return of capital is not regarded as a dividend.

The Proclamation tries to treat some forms of distributions as dividends and bring them to the tax net. These include:

1. An amount of capital dividend (Return of capital) above its nominal value: For example, Mr X owns 100 shares in ABC Company.

Each share has a nominal value of 1000 Birr. With the view of reducing its capital, the Company lowers the nominal value of each share to 800 Birr and repays 200 Birr per share to Mr.X. In this case, no dividend is subject to tax. Let us assume that instead of 200 Birr the company repays 300 Birr per share to X. Even though the actual reduction of the par value of each share is 300, the Company reduces the nominal value of each share by only 200 Birr. The Proclamation considers the 100 Birr difference as a dividend on each share.

2. An amount of redemption of membership interest (shares) in excess of its nominal value
3. An amount, returned to the member on cancellation or liquidation of body, in excess of its nominal value
4. Constructive or disguised dividends that are made to the member or a related person of the member under the pretext of "real" transactions.

For example, a company entered into a loan contract with one of its shareholders whereby the company agreed to borrow a certain payment of money from the shareholder and to pay interest on the loan. When the substance or enforcement of the contract is examined, it is a simulated or fake arrangement made

between the two parties for the payment of a dividend in the form of loan repayment. In most cases, the dividend allocated to the shareholder is disguised as and paid in the form of interest for loan debt. Since the tax rate applicable to interest is lower than that of dividends, the shareholder will pay a lower amount of tax. This is one instance of a constructive dividend. By examining the true nature of transactions declared by taxpayers, the tax administration has the responsibility to combat similar tax avoidance arrangements.

In addition to share and private limited companies, profits distributed by partnerships, public enterprises, cooperative societies, and other similar forms to their members are regarded as dividends and subject to income tax.

To establish the legal duty to pay tax under Article 55, the person that derives the dividend shall be either of the following.

- Resident of Ethiopia
- Non-Resident with a permanent establishment in Ethiopia. If the non-resident who derives the dividend does not have a permanent establishment in Ethiopia, Article 51 applies.

4.2.5 Taxation of Interest

According to the broad definition employed under art 2(16) of the Proclamation, interest is an amount or economic benefit derived in response to the use of money or for being given time to pay.

The following are regarded as interest

- Interest paid on deposits
- Interest paid on debentures by companies
- Interest paid on loans¹⁴
- Discounts and premiums that are paid for the use of money¹⁵
- Other functionally equivalent payments¹⁶

¹⁴ The loan may be made either in a business or non-business context. If the lender is a financial institution whose core job is lending money, the interest is taxed under schedule C.

¹⁵ The Technical Notes of Ministry of Finance provides the following example. “A bill of exchange may be issued at a discount on its face value with the full amount of the face value payable on maturity of the bill. A 90-day bill with a face value of 100 Birr may be issued for 90 Birr. This means that the issuer of the bill receives 90 Birr on issue and pays 100 Birr on maturity. The difference of 10 Birr is referred to as discount, but is economically the equivalent of interest. A premium is really additional interest and may be payable by a borrower with a low credit rating to compensate for the greater risk involved with the loan.”

The interest may be paid periodically, at a regular interval, or all at once as a lump sum. The tax is due whenever interest is derived by a person.

There are two types of taxpayers, which derive the interest, under this section of the Proclamation; resident taxpayers and non-resident taxpayers with a permanent establishment in Ethiopia.

The resident taxpayer is taxed on its worldwide interest income while the non-resident is taxed on its Ethiopian source interest income.

As in the case of dividends, there is no deduction of any expense for interest.

The Proclamation provides the lower tax rate of 5% for interest derived from savings (deposit of money) with financial institutions. The rationale for setting a lower 5% tax rate seems to encourage the saving of money with financial institutions. Saving is one form of investment. An unintended consequence of this approach is that the low tax rate incentivizes taxpayers to report income from other sources like interest income.¹⁷

For all other types of interest, the tax rate is 10% of the interest. Under this category, interests derived from depositing money with foreign financial institutions, debentures of companies, and loans are taxed at 10%.

Tax on interest is subject to a withholding system. The declaration and payment of the tax are made in accordance with Articles 90(3) and 93(3) of proclamation (No. 979/2016).

4.2.6 Taxation of Income from Games of Chance

The deriving of the income is based on an uncertain event of chance.

Game of chance is a *‘game whose outcome depends primarily on chance rather than the skill of the participant, including a lottery or tombola.’* See Article 57(4). **Though skill (or knowledge) may have some role,** it is chance that plays a significant role in determining the outcome of the game.

Tombola, instant lottery, promotional lottery, bingo, sports betting, and casino are among the popular types of games of chance.

¹⁶ The Technical Notes gives “amount payable for the time value of money under a derivative financial instrument or a payment of defaulted interest by a guarantor” as example for it.

¹⁷ For example, to avoid the payment of dividend tax at the rate of 10%, it is common for companies and their shareholders to enter into a fictitious loan contract whereby the companies become borrowers while the shareholders as lenders. The earnings of the shareholders that would otherwise be declared dividends are instead reported as an interest to take advantage of the 5% tax rate.

The person that operates the gaming business and the winner of the game must pay the required taxes under Schedule C and Article 57 of the Income Tax Proclamation respectively. The taxpayer is any person; either resident or non-resident of Ethiopia, but the income shall be derived from a game of chance exercised in Ethiopia.

Persons, who pay money or any other economic benefit to the winners of games of chances, are required to **withhold 15% of income tax** from the payment.

There is no obligation to pay tax when the income from the winning is less than 1000 Birr.

When the income is derived in non-cash forms, such as houses, cars, and mobile phones, the valuation rules of the Income Tax Proclamation are applied to estimate the monetary value of the income and assess the income tax.¹⁸

4.2.7 Taxation of Income from Casual Rentals

When an income is derived from the casual rental of either a movable or immovable asset in Ethiopia, it is taxed under Article 58. The taxpayer may be either resident or non-resident of Ethiopia. However, the income shall be an Ethiopian-source income (as the asset is located in Ethiopia).

The meaning of the word ‘casual’ is important to avoid characterization problems with Schedules B and C. If the rental is carried out casually, Article 58 will be applied. If the rental is carried out on **regular basis**, the income derived from the rent will be taxed under either Schedule B (if the property is a building) or C (if the property is other than a building).

Tax Regulation of 2017 tries to define the term Casual Rentals as

“...income derived from casual rental of asset” means gross income derived by a person who is not engaged in the regular business of rental of movable or immovable asset.”

The word ‘annual’ in Article 58(1) may lead to a conclusion that the taxpayer that derived income from casual rent must pay on its annual income and have a tax year, like Schedule B and C taxpayers. Such a conclusion would be wrong for the following reason.

Tax on income from casual rent is governed by self-assessment, not the withholding rule. For Schedule D incomes that are subject to self-assessment, the Income Tax Proclamation provides a general rule on the

¹⁸ Article 75

time for tax declaration and payment. The Proclamation requires the taxpayers to file a tax declaration 'within two months after the date of the transaction giving rise to the income'.¹⁹

Renting a property on other than a regular basis is the transaction that gives rise to casual rental income. It appears that the two months tax declaration period commences just after the completion of the casual rent (lease) period. This means that the taxpayer must make a separate tax declaration for each casual rent (lease) contract.

An income that is derived from the rental of industrial, commercial, or scientific equipment may be characterized as both a royalty and income taxable under Article 58. In this situation, the Proclamation treats the income as royalty and prioritizes its taxation under either Article 51 or 54 (depending upon the nature of the taxpayer's residence).

4.2.8 Taxation of Gains on Disposal of Certain Investment Asset

In the tax literature and foreign tax systems, this is referred to as taxation of capital gain.

Capital gain refers to an increase in the value of an investment asset when the asset is disposed of. When an asset is sold for a higher price than the original purchase price, there will be a realization of gain and the seller must pay tax on the gain. If the asset is sold for a price lower than its purchase price or acquisition cost, there will be a capital loss and no tax will be due. Tax laws may allow the offset of a capital loss from future capital gain.

Capital gain is derived when there is a disposal of a capital asset or transfer of ownership of a capital asset from the taxpayer to someone else in different ways, such as by sale, exchange, or gift.

Disposal of capital gain is an on-off transaction. As a result, a capital gain is not a periodic income. It is derived by the owner only once for each investment asset that is sold, exchanged, or gifted.

If trading in capital goods is the regular activity of a person, the income from such activity is often regarded as a business income and taxed in accordance with business income tax rules under schedule C. The sale of buildings by real estate companies is a typical example of this unique situation.

The Proclamation limits the application of the tax to the following taxable assets.

Immovable assets: According to the Civil Code, immovable property/asset consists of land, buildings, and their intrinsic elements. Since persons do not have ownership rights over land, it is unlikely that there is a capital gain tax on land in Ethiopia. Buildings and their intrinsic elements are the main and common examples of immovable assets that can be owned and disposed of by private individuals.

¹⁹ Article 83(7) of income tax proclamation No. 979/2016

Shares and Bonds: The Income Tax Proclamation does not give us adequate information as to the meaning and types of shares and bonds. A reference needs to be made to both the tax literature and other relevant laws, such as the Commercial Code of Ethiopia.

✚ Persons that derive gain from the disposal of the taxable assets are subject to the capital gains tax. When the asset is disposed of by way of gift, it is the donee, not the donor that is regarded as the taxpayer.

The tax base for capital gain tax is the gain derived from the disposal of the taxable assets. The taxable capital gain is the net gain in excess of the costs of the assets.

For example, a person bought a building at 1 million Birr and sold later it for 1.5 million Birr. Here, the 1 million Birr represents the cost of the building and the 1.5 million Birr represents the sales proceeds/consideration received at the time of disposal (sale) of the building. The taxable gain is the difference between the two amounts, which is 0.5 million Birr. If before its disposal the building was used to derive a business income, which is taxable under Schedule C and a depreciation deduction was made, the computation of the taxable capital gain involves further issues and steps. Let's assume that the person was able to deduct 200,000 Birr as the depreciation cost of the building in the course of assessment and payment of its business income tax liability under Schedule C. In this case, the net book value of the building must be reduced to 800,000 Birr. The gain becomes 700,000 Birr.

The cost of the asset may exceed the consideration derived from its disposal. The taxpayer is entitled to recover the current loss from a future gain in accordance with the loss carry forward rules of the Proclamation, see art 59 (4). But, unlike the time limit put for loss carry forward of schedule C, a loss under this section can be continued forward for the indefinite future, until the loss is fully offset.

A gain derived from the disposal of an immovable asset is taxed at the rate of 15% while the gain derived from the disposal of either a share or bond is at 30%.

The capital gain tax is assessed by the taxpayer and it must be declared and paid to the tax authority within two months after the disposal of the asset.

4.2.9 Taxation of Windfall Profit

The Income Tax Proclamation of 2016 defines 'windfall profit' as any unearned, unexpected, or other non-recurring gains. The essential characteristic of windfall profit is that it is an unexpected gain derived from the occurrence of lucky circumstances. The demand, supply, and prices of goods and services may be suddenly changed due to unforeseen circumstances or decisions of the government.

Since windfall profit is generated from unforeseen circumstances, it is impossible to describe in advance in the tax laws the source of the tax base and the tax rate. In the Income Tax Proclamation, these issues are not specified.

4.2.10 Taxation of Undistributed Profit

A profit that was neither reinvested in any investment, including raising the capital of the companies, nor distributed to shareholders should be taxable.

If the profit of a body is not distributed to its members or reinvested in the body or other investments, it is taxed at the rate of 10%. The tax applies to not just the undistributed profit of companies, but bodies in general. On the other hand, if the profit is distributed, Article 55 will apply. The tax on the undistributed profit is paid from the account of the body. Hence, the taxpayer under this section is the body itself, not the members.

4.2.11 Taxation of Repatriated Profit

Article 62 of the Income Tax Proclamation (2016) provides that there is a 10% tax on the repatriated profit of a permanent establishment of a non-resident body conducting business in Ethiopia. The essential criterion that establishes tax liability under this article is the **repatriation of the income** out of Ethiopia by the non-resident body.

The purpose of Article 62 seems to reduce the chance of tax evasion by non-resident taxpayers through the repatriation of business profits out of Ethiopia. Since the taxpayers are non-residents of Ethiopia, the probability of sending profits back to their home or another state is high.

Repatriated profit is taxed on annual basis, in reference to the tax year of the body.

4.2.12 Taxation of Other Income

The taxation of other income is a new feature of the Income Tax Proclamation of 2016. Thanks to Article 63 of the Proclamation, there is now a rule for the taxation of a residual category of income. It reads:

“A person who derives any income that is not taxable under Schedule A, B, C, or the other Articles of this Schedule shall be liable for income tax at the rate of 15% on the gross amount of the income”

This article has two objectives:

- It broadens the tax base and raises more revenue for the government.

- It enhances the equitability of the tax system. Persons deriving income from whatever source are liable to pay tax.

There are two requirements for an income to be a taxable income under Article 63.

- a. It shall not be a type of income that falls under one of the existing charging rules or schedules.
- b. It should not be an exempt income.

An example of income that could be taxable under Article 63 may include a reward given for whistleblowers of tax evasion pursuant to Article 134 of the Tax Administration Proclamation (No. 983/2016).

Since the tax is imposed on the gross income, there will be no deduction of expenses. It is the duty of the person that derives of the other income to declare and pay the income/tax within two months after the date of the transaction that gives rise to the income.

Chapter Five

5.1 The Law of Value Added Tax in Ethiopia

Understanding Consumption Taxes in General

A tax on individuals that is measured by their level of consumption rather than their income is usually referred to as cash-flow or consumption-based income tax. Most taxes on consumption are indirect taxes. These taxes are collected by suppliers of taxable goods and services to be paid to the tax official and are expected to be borne by final consumers of those goods and services. The indirect tax on consumption may take the form of a **single-stage tax** (where tax collected only once throughout transaction process) such as the excise tax or a **multistage tax** (where, tax collected whenever goods changes hand) such as a value-added tax or goods and services tax.

Thomas Hobbes: *the most well-known advocate of consumption-based taxation.*

People should pay tax based on what they consume (withdraw from society's limited resources) rather than on what they earn in income (contribute to those resources through their labor). Both receive protection from the government.²⁰

²⁰ Thomas Hobbes, is well-known for his political than economic theory, but he does touch upon taxation in many of his works, Hobbes believed that tax should not be equated to a man's wealth, but to the debt he owed the state for his defense and the maintenance of the rule of law. He also advocated for the provision of public support for those unable to earn a living by their labor.

The rationale for consumption taxes

Consumption tax fosters capital formation and technological advancement and innovation by encouraging saving and investing.

Consumption tax would allow the economy to achieve greater productivity (i.e., it would grow the economic pie) by leaving savings untaxed.

Types of Consumption (indirect) Taxes

It can be either **single-stage taxes** applicable only at one stage from the production through to the distribution stages or all-stages taxes like the VAT & TOT.

A retail sales tax also called an ad valorem tax imposes a tax on the final sale of commodities and services by the retailer to ultimate consumers. A retail sales tax is also alternatively called the “general sales tax” to indicate the uniform nature of the tax rate. In the case of a retail (general) sales tax, sales made at a pre-retail stage are not subject to taxation.

a. Single Stage General taxes at Wholesale or Manufacturing level

Manufacturing or wholesalers sales taxes are single-stage taxes imposed on the producer or wholesaler or the last wholesaler who sells his goods to the retailer. The excise, manufacturing, and wholesalers’ sales tax are single-stage indirect taxes. However, these taxes are different from **the specific single-stage tax of the excise tax** because excise tax is imposed only at a particular level **on elected items** at a manufacturing or wholesaling level. The manufacturer's and wholesaler's sales taxes are preferred by developing countries because they are more easily manageable for administrative and enforcement purposes.

b. Single Stage Retailer’s Sales Tax/ ad-valorem tax

It is a tax that imposes a tax on the final sale of goods and services at the retail level when the retailer sells goods and services to final consumers. When a retailer’s sales tax is imposed at a uniform rate, it would be referred to as a general sales tax, and when it is imposed at differentiated rates (including a zero rate) on different commodities, it is known as a specific sales tax or an excise tax.

- All the sales made on earlier stages preceding the retail stage are free of taxation. RST is preferred over the TOT as it avoids cascading effects and distortions

c. Specific Single Stage Sales Tax (Excise Tax)

Excise tax is a specific single-stage sales tax that is imposed on purposefully selected commodities. The distinguishing features of excise tax include its selective nature, discriminatory intent, and the application

of quantitative measurement to determine tax liability. While an excise shares similarities with the RST, MST, and WSST as all are imposed only at a single stage. There are, however, notable differences because of

1. Its specificity; the other indirect taxes are commonly imposed on all goods and services.
2. In terms of purpose; Unlike other consumption taxes, the purpose of excise taxes is more than just revenue raising; its purposes include discouraging consumption of the selected goods and services.

d. Turnover (Multi-stage cascading) Tax

Turnover tax is a multi-stages sales tax that is applied to the full value of goods or services every time it changes hands in the process of production and distribution. It lacks an input credit unlike VAT. It is also called cascade tax²¹; indicate its cascading or a tax-on-tax effect

e. Value Added Tax

It is a multi-stage tax imposed on the value added to goods and services as they proceed through various stages of production and distribution and to services as they are rendered which is eventually borne by the final consumer but collected at each stage of production and distribution.

A VAT has at least three characteristics:

- It is a multi-stage tax through to the retail stage,
- It is a consumption-based tax on which the final burden falls on the final consumers, and
- It is a tax on the value-added and fully credits input VAT already paid.

5.2 Value Added Tax in General

Value added is the value that a person adds to his raw materials or purchases before selling the new or improved product or service.

VAT is a type of multistage sales tax imposed on goods and services that is collected in chunks at each stage of production and distribution of goods or the rendition of services **in proportion to the value-added by each tax paying firm.**

²¹ Tax cascading results whenever a commodity or service is taxed more than once as it passes through various stages of the production-distribution chain from the manufacturing to the retail stages, The cascading nature of the turnover tax is the reason that makes it undesirable all over the world

"Value-added" as "the difference between the value of a firm's sales and the value of the purchased material inputs used in producing goods sold. In the process of VAT tax collection, a taxable person's output VAT of one person becomes a creditable input VAT for another person.

A value-added tax is a levy on the value that a taxable person adds in the course of its operations to the goods and services it purchases from other firms.

Value is added not only by handling or processing these purchases into new products with the firm's labor force, but also by making goods or services accessible and easily reachable to customers. The amount of value-added can be measured then as the difference between the prices of the taxable persons' sales and their purchases from other business entities.

For instance, let us compare the value of a kilo of bananas from the banana farm around Arba Minch and at a fruit store in Addis Ababa. If we see the physical configuration of the banana, then there is no physical modification made to it. The banana is not manufactured into juice or another type of product. It is the same banana in Addis Ababa and Arba Minch. But this does not mean that the value of the banana is the same at the two places. The one which is found in a fruit store in Addis Ababa is more valuable than the one which is found at the banana farm in Arba Minch because it is brought closer and made easily accessible to the consumer. Value is added to the banana of Addis Ababa by carrying it over and putting it in an appropriate place. The value difference is manifested by the price difference. The banana of Addis Ababa is more expensive than the banana of Arba Minch. This is evidence of the existence of value addition. If a kilo of banana at Arba Minch costs 15 Birr and the same banana costs 25 Birr in Addis Ababa, then it means this banana has added a value of 10 Birr which will be the subject of the VAT.

Value Added Tax versus Retailer's Sales Tax

Both the retailer's sales tax and the value-added tax are consumption taxes that share similar characteristics.

- The tax base in both cases is consumption with the burden on the consumer.
- RST taxes the final product at the retail stage, while the VAT taxes it in successive stages as additions to the value of the product.
- Both the RST and the VAT play a great role of avoiding cascading tax and both are efficient as they are believed to enable collect a large amount of tax with a minimum administrative and compliance cost

- The only significant difference is that RST imposed and collected only at one single stage of trade, whereas VAT is collected by way of fractionated payments made by all enterprises in a chain of business transactions from production to the final consumption stages.

Why is VAT so popular?

Economists have suggested several reasons for the popularity of VAT.

- Its revenue generating capacity, it can raise more revenue with lower operational and economic costs than can other broad-based consumption taxes. The justifications suggested for the better revenue-generating capacity than other taxes are the broad-based nature of the tax and its ability to minimize tax evasion and avoidance efforts through its invoice-based VAT calculation system.
- It avoids the cascading effect of the TOT and the administrative difficulty of the RST. VAT avoided cascading effect by introducing a credit for the input tax paid by the purchaser.
- Value Added Tax is preferable to the Retailer's Sales Tax since it enables governments to collect a substantial proportion of tax revenue at pre-retail stages in the production stages and the production process
- VAT is also preferable to the Retailer's Sales Tax since it has the capacity to significantly reduce the incentive to evade tax by spreading the impact of the tax overall firms. This is because unlike the retailer's sales tax, in which the last firm only collects the tax from consumers, every firm has a duty to collect VAT every time the good or service changes hands. As for the retail sales tax, if it is evaded by the retailer, the government loses all the revenue that could have been collected from the transaction. Regarding VAT, however, the government still has the chance to generate revenue from subsequent stages though firms might have evaded their tax duty at one or more stages of the transaction.
- VAT is applauded for its simplicity to administer and enforce
- The role of VAT in saving and investment is also described in the proclamation

Why consumption taxes are neutral taxes?

Jonathon Gruber also praises consumption taxes for their neutrality which he claims will help enhance investment, efficiency and economic growth.²²

- **What is** destination principle?

The invoice credit method VAT also plays a great role in minimizing tax avoidance and evasion since it has an inbuilt cross-checking mechanism or self-policing system. This self-policing system arises

²² Jonathon Gruber, Public Finance and Public Policy, 3rd ed., Worth Publishers, New York, 2011), PP. 754–56.

from the fact that taxpayers have an incentive to ask their suppliers for receipts because they can deduct input costs from their VAT bills. Since the amounts are recorded in two sets of books²³ the risk of cross-checks is thought to deter firms from reporting differing amounts.

Disadvantages of the VAT

1. The most important criticism of VAT is its regressive nature, since it forces individuals with the least ability to pay face the highest overall relative burdens.

Illustration 1: Assume that three taxpayers whose annual turnover is one million ten million and 100 million Birr are registered for VAT and are expected to collect pay it to the tax collecting authority. All the three of them are duty-bound to hire an accountant, to buy invoices and cash register machines take for instance 50,000 Birr. The cost of these items is equal. This cost is expected to be incurred by the taxpayers themselves. We can see that those with lower income will be expected to face a compliance cost that is equal to those who have higher income. This makes VAT compliance costs regressive in nature.

Illustration 2: In Ethiopia, we see that the majority of the people are from lower-income groups and the government collects its VAT mainly from the majority poor. Assume that a pair of shoes is priced to be 2000 Birr. The VAT to be collected from these shoes will be $2000 \times 15/100 = 300$ birr. If a rich man buys a pair of shoes, he will pay 300 birr VAT. Similarly, a poor man buying the same shoes will be expected to pay 300 birr. If ten poor men buy the same shoes, they will pay $10 \times 300 = 3000$ Birr in total. Hence, the government collects 3000 birr from the poor men (they are ten in number to indicate the majority of our country) whereas it collects only 300 from the rich man. Hence, we say that the lion's share of the VAT revenue comes from the poor. This makes VAT regressive in nature.

2. The other problem is the effect of a VAT on inflation. Critics of VAT argue that it increases the price of consumer goods which adversely affects the lives the ordinary people.
3. The higher compliance cost to the businesses
4. There are also chances for distortion that may happen due to those businesses that are not registered for VAT because of the registration threshold. VAT registered taxpayers may not get VAT credit for the input VAT they paid when purchasing their inputs from the unregistered sellers. Businesses that are not registered for VAT might be encouraged to avoid buying from businesses that are registered since they cannot reclaim the VAT charged. On the other hand,

²³ (VAT tekorach eka shach gar ena VAT tekorach eka gezhi, esum gezito meliso yemishet ena huletum VAT temezgabi mehon alebachew)

businesses that are registered for VAT will prefer to buy their inputs only from the registered businesses so as to get credits for their input VAT.

Methods of Calculating VAT

The Credit Invoice method VAT Calculation

Under the credit-invoice method, a taxpayer is obliged to issue invoices constituting VAT for all his sales to his buyers. A sales invoice for a seller is a purchase invoice for a buyer.

A taxpayer is expected to calculate the net VAT to be paid to the government **through a three-step process.**

- First, the taxpayer must aggregate the VAT shown on its sales invoices.
- Second, the taxpayer must aggregate VAT shown on its purchase invoices.
- Finally, aggregate VAT on purchase invoices should be subtracted from aggregate VAT shown on sales invoices, and the difference will be the net VAT that will be paid to tax collecting officials.

One must issue an invoice (Out Put Invoice) containing the VAT he charges for all his sales and must keep a copy invoice for all the sales if he wants to get credit from the tax authorities.

The invoice credit method gained wider acceptance than other methods because of:

Invoice helps as important evidence of the transaction and of the resulting tax liability

The invoice credit method creates a good audit trail. This makes taxpayers watchdogs of each other. This in turn minimizes tax evasion and avoids challenges for governments.

Other methods are not effective in applying multiple VAT rates than a single rate to be used for jurisdictions that prefer multiple stages.

Credit Subtraction VATs

It is computed annually by the seller and collected annually at each stage of production. The tax due is computed by multiplying the VAT rate by the amount by which the business taxpayer's gross receipts exceeded its deductible expenditures for the year. One main advantage of this method is that it results in lower administrative costs for the government and it decreases compliance costs for the taxpayers. So far the only country that used the sales subtraction method VAT without invoice is Japan.

Sales-Subtraction Method VAT

The net tax liability is computed by multiplying the tax base by the tax rate. The tax base is obtained by subtracting the amount of total purchases from the total sales. The seller is obliged by the law to price and record taxable goods and services inclusive of VAT so that the recorded data will be used to calculate annual VAT net liability.

Sales subtraction-method VAT is usually differentiated from invoice credit-method VAT since the former does not use credits and that tax due is not calculated by subtracting tax paid from gross tax liability.

The sales subtraction method VAT is described as being "accounts-based," rather than "transaction-based VAT" and is commonly perceived to be a tax on an entity.

Addition Method VAT

Destination and Origin- Based VAT Principles in VAT

The issue of jurisdiction or who taxes international goods or services appears in the picture when goods and services are transacted internationally. There are two alternative methods of taxing international transactions of goods/services

1. The origin principle

“VAT is imposed on the goods and services in the country of production, regardless of where they are consumed.” In this case, imports are not free of the VAT and exports bear tax on the value-added within the taxing jurisdiction.

2. The Destination Principle

VAT is imposed on imports and rebated on exports. Almost all countries of the world are using the destination-based method of taxing international transaction of goods

The Concept of a Good VAT (Modern VAT) versus Traditional VAT

- a. **Good VAT** entail a uniform rate of VAT extending from the manufacturing through to the retail stage of the economy, levied on a broad consumption base of goods and services with very limited exemptions/exclusions.
- b. **Bad VAT**, have multiple positive rates and multiple exemptions.

5.3 Value Added Tax Law of Ethiopia

The Salient Features of the Ethiopian VAT System

The Ethiopian VAT law, which was issued by Proclamation number 285/2002²⁴ replacing the pre-existing general sales tax. The VAT legislation was designed with a standard and uniform rate of fifteen percent intended to be applied on a broad consumption base including almost all transactions. It also had a considerable number of exemptions and zero ratings for some transactions.

Although the original VAT Proclamation included substantive and procedural aspects of the VAT, a new and separate proclamation whose purpose was to regulate the procedural aspect of all kinds of taxes was later enacted in 2016. This proclamation was “Federal Tax Administration Proclamation number 983/2016.” The enactment of the tax administration proclamation effectively repealed the procedural part of the original VAT Proclamation.

The Ministry of Finance and Economic Development has increased the registration threshold (from 500,000 birr into 1000,000 birr) based on the power given to it by the VAT Proclamation to increase or decrease the threshold based on the new developments.

The Ethiopian VAT legislation is adopted from the European model VAT which makes it partly traditional due to the numerous exemptions it contains, making it narrow-based as compared to the modern VAT. The typical modern VAT is a broad-based VAT with a single, uniform, lower tax rate with no or very few exemptions. The only feature that makes the Ethiopian VAT legislation better than the EU model directive is the application of a positive single standard VAT rate.

The Allocation of VAT Taxing Power in the Federal Setting of Ethiopia

The Constitution has divided the revenue powers into four categories,

- Revenue sources that are exclusively reserved for the federal government;
- Revenue sources that are exclusively reserved for the regional states
- Revenue sources that are concurrent powers of both the federal and regional states, and
- Revenue sources that are not designated in the constitution.

At the introduction of the VAT, the Ethiopian government considers VAT as undesignated power and accordingly the joint session of the two houses decided that the VAT power to be given for the federal

²⁴ The VAT Proclamation 285/2002 was also amended twice, first by Proclamation No. 609/2008, which was enacted primarily to regulate the use of sales register machines, followed by proclamation number 1157/2019, issued mainly to change filing periods and decrease the VAT withholding rate to 50 percent.

government. The reason is that the VAT can only be effective if implemented at the federal level because of the absence of internal borders and the problems with cross-jurisdictional crediting.

Despite the decision to give the taxation power of VAT exclusively to the federal government, later on, FIRA unilaterally decided to share VAT revenue between the federal government and states, with 70 percent transferred to the federal government and 30 percent to the states.

The Scope of VAT under the Ethiopian VAT Legislation

According to the Ethiopian Value Added Proclamation, the VAT applies to:

1. Every taxable transaction by a registered person²⁵ and

A **Taxable transaction** means a supply of goods or a rendition of services in Ethiopia in the course or furtherance of a taxable activity. A **Taxable activity** means an activity that is carried on continuously or regularly by any person in Ethiopia, or partly in Ethiopia, for consideration.

2. The import of goods and services by any importer unless they are exempt.

Taxation of Domestic Supplies of goods and services

According to the Ethiopian VAT legislation, the following five conditions must be fulfilled cumulatively for a given transaction to be subject to the VAT. **Bear in mind that the following conditions need not be fulfilled on imports.**

A. There must be a supply of goods or rendition of service

What constitutes a supply?²⁶ The proclamation also includes leases or rentals of goods as supplies.

B. The supply must be made by a Registered Person/Taxable Person

Supplies of goods or rendition of services can be taxed only if they are supplied by taxable/registered persons. Supply by a taxable/registered person may not be the subject of taxation unless it is a part of regular or continuous activity. The fact that a person is not registered will not save him from VAT liability as long as his annual turnover exceeded the minimum threshold and as long as he carries out a regular and continuous activity.²⁷

Voluntary registration for VAT, Those businesses whose annual turnover is below one million Birr are not duty-bound to register for the VAT but have the freedom to register if they wish provided that the

²⁵ Value added Tax, Proclamation 285/2002, article 7

²⁶ Look for the same proclamation

²⁷ See art 45

business regularly supplies more than 75 % of its goods and services to a VAT registered person. The latter qualification is criticized as it discourages the voluntary registration of businesses.

A business person who conducts a regular or continuous business activity is obliged by the law to be registered if his annual turnover exceeds a threshold level of one million Ethiopian Birr. Hence, the wording of the Ethiopian VAT proclamation as a registered person seems to be an error since a person can be a taxable person and liable to pay VAT even though he might not be registered.²⁸

C. The supply must be made in the course of a taxable activity

Taxable activity is an activity that is carried on continuously or regularly.

Note that it is only domestic supplies that are expected to meet these criteria.

Continuity: Supplies should be made regularly and fairly frequently as part of continuing activity. Isolated or single transactions will not usually be liable to VAT.

D. The Supply must be for consideration

The consideration or payment received by the person must have a direct link to the goods supplied or the service rendered for a supply to be taken as a taxable supply.

Note That: Consideration is different from profit. A taxable person might supply goods or render a service not for profit even if he has obtained some kind of consideration from the customer. The absence of profit does not make a supply to be regarded as free of consideration. Based on the above definition gifts or donations cannot be regarded as supplies since they are granted for the donee without any payment. However, if somebody transferred a good without cash payment but for any personal service, he obtained it will be taken as a supply. For instance, any supply by the employer for his employees of any goods free of charge is considered a supply and therefore taxable.

E. The Supply must take place in Ethiopia or Partly in Ethiopia

Taxation of Imports

Imports, whether goods or services are the subjects of VAT when unless they are exempt. Immediately, when the imported goods or services enter the Ethiopian customs places, they will be subjected to the VAT. It need not fulfill the above conditions

²⁸ Value added Tax, Proclamation 285/2002, Article 7(1), Articles 3(1),(2) and (3) and Article 15

The Place, Time, and Value of Supply of Goods and Services

The place of supply of the goods and services

As far as the supply of goods is concerned the general trend in almost all jurisdictions as in Ethiopia is to make the place where the goods were delivered or transferred or made available to the person supplied as the place of the supply. The fact that a legal title did not pass at the time the goods are delivered is not an issue.

In case of goods transported before they are handed over to the person supplied, the place of the supply of the goods will be the place where the transportation started.²⁹ The place of supply of goods imported from abroad is the place of arrival according to the customs laws of the country.

The Ethiopian VAT legislation provided the place of supply of services to be the place where the taxable activity of the person is located.³⁰ Unlike the domestic supplies of services, locating the place for cross-border supplies of services can be challenging.

The system used by the Ethiopian law to overcome these problems is reverse taxation (charging)³¹. A reverse-charging rule requires the customer enjoying the service being supplied by a foreign supplier to pay the VAT. The customer residing in Ethiopia is obliged to withhold the VAT amount on the payment he makes to the supplier and pay to the tax authorities as an output tax on that supply. **If the customer pays that VAT as input tax, he can claim a VAT credit, and he will owe no VAT.**

The time of supply of goods and services

The importance of specifying the time of supply as it enables the tax authorities to determine “when a tax invoice has to be issued for a supply, when tax is due in respect of a supply, the rate at which the tax is payable, and in which taxable period a return has to be made in respect of that supply and in which any tax credit can be claimed by the person receiving the supply.

The Ethiopian VAT legislation provides that supply occurs when the VAT invoice is issued provided the invoice is issued shortly (the law gives five days) after the supply.

If payment is effected before the delivery of the goods, the time whereby the payment is done is deemed to be the time of supply. The reason why the law specifies the payment date as the time of supply is to

²⁹ VAT Proclamation Article 9(1)

³⁰ Ibid, Article 10(1)

³¹ Ibid Article 23

make sure that the VAT liability which arises as an advance payment is made and does not await any transfer or dealing with the goods.

The Value of Taxable Supply

The correct VAT liability of the taxable person could be figured out only if the exact value of the supply for the tax accounting period is known. The common rule is that the value of taxable supply is equal to the sum of all payments or consideration received or entitled to be received by the taxable person from the supply he made whether paid from the customer or some other person.

Definition of the fair market value of supply³²

The issue of fair market value arises when some taxpayers engage in understating the price of goods or services so as to avoid their tax liabilities. This is especially the case when the supplier is a taxable person and the supplied person is not taxable person. In such a case, the supplier might reduce the actual value of the supplies to avoid creating an input tax that the person supplied cannot reclaim. Remedy for this problem³³

VAT Base, Exempt and Zero-rated Transactions under Ethiopian VAT law

The tax base for invoice credit VAT is agreed to be the consumption of individuals.

- **An Exempt Transaction** is a transaction in which a trader has to pay VAT on his inputs without being able to claim any credit for this tax (and he cannot impose VAT on the supply) whereas
- **A Zero-Rated Transaction** is a transaction in which the trader is fully credited for any VAT he pays on inputs (i.e. he can reclaim his input tax from the government) and also is exempt from output VAT (i.e. no VAT is added on the price of supply).
- **A reduced transaction** is neither zero-rated not exempt but taxed at a tax rate which is below the standard rate adopted by a given country's VAT law.
- **Input tax is a tax paid on the purchases while output tax is a tax collected on sales.**

The zero-rated transaction does not contain any tax element in the final price sold to the ultimate consumers. Hence, an exempt good or service is of a higher price than that of a zero-rated good or services since it contains a tax component.

See the example for how the exemption works: Assume an exempted good passed from X to Y and then to Z. Let us say X sold the good for 10,000 birr. X will collect 1,500 birr VAT from Y. Hence, Y

³² Federal Tax Administration Proclamation number 983/2016 Article 3

³³ See, VAT Proclamation number 285/2002, Article 13

will pay a total of 11,500 birr. Then if Y needs a 1000 birr profit, he will sell the same good for Z for 12,500.

Exempt Transactions under the Ethiopian VAT Legislation and elsewhere

Exempt transaction or supply is a transaction in which the output tax is freed and the input VAT paid when purchasing is not credited. The basic characteristics of exemptions in VAT are that they do not grant absolute relief from tax liability. The only thing that exemptions do is **relieve the exempt trade's value-added from output tax** while input taxes already paid are not returnable.

➤ *Suppliers who are treated by the law as exempt are not required by the law to be registered and to keep record books.*

Such exemptions are justified by the economic, social and the political grounds

- Because there are goods and services that are too difficult to tax administratively
- To improve the progressivity of the VAT
- Because there are public goods that deserve to be tax free

1. Activities Exempted for the Sake of the Public Interest/Meritorious Goods or Services

The Ethiopian VAT legislation exempts healthcare, education, and social services because they are considered as activities in the public interest or because they are meritorious. Because the consumption of those goods should not be affected because of the imposition of the VAT

2. Exemptions of Public sector, Nonprofit, and Charitable Activities

Among the public utilities exempted by the Ethiopian VAT legislation are water, electricity, kerosene, passenger transport, and postal services. The exemption of these public utilities is supposed to enable these goods and services to be supplied at lower prices for the public.

3. Activities that are Exempted Due to Difficulty to Tax

Some transactions are exempted because of the difficulty or at least perceived difficulty in applying the invoice-credit method VAT. This emanates from the fact that these transactions are by their very nature unreachable to the VAT system.

A) Exemption of Real Property (Land, Buildings, and Structural Components)

The VAT policy on real property is complex due to a number of reasons. The first reason is that real property is usually acquired both for consumption and saving purposes which makes separating the

investment part of the property from the consumption part impossible. Second, it can be owned and used as consumption goods by owner-occupants or rented to others or used for production purposes. Third, the real properties are not traded frequently or regularly which makes valuation difficult.

To avoid discrimination and distortion of the economy, almost all VAT systems are exempt from VAT of the leasing of used residential dwellings except a newly built dwellings in a manner they exempted owner-occupied houses.

B) Exemption of Financial Services

They are exempted because they are difficult-to tax transactions.

C) Exemption of Insurance Services

4. Businesses Exempt Because of VAT Registration Threshold (Administrative Reasons)

It is the major areas where VAT exemption is reasonably applied, the VAT registration threshold applies to smaller businesses. Substantial registration thresholds are seriously recommended to avoid the disproportionate administrative and compliance costs small businesses might face. The reasons for the need to exempt smaller and low income businesses below a certain level of threshold are the relatively high compliance and administrative costs incurred by the low income businesses and the regressive nature of these costs.

- The Ethiopian VAT Proclamation sets two kinds of registration for VAT. These are mandatory registration and voluntary registration.

Ethiopian VAT Rate versus the VAT Rate of Other Jurisdictions

Ethiopian VAT legislation applies a single standard VAT rate of 15 per cent which makes it better than several African and European countries which used multiple rates.

A uniform VAT rate is advised for numerous reasons. It is simple to administer, it is believed that a uniform rate can reduce compliance and administrative rate, minimize the chance for tax evasion and avoidance and avoids distortionary effects on consumer and producer choices.

The Ethiopian VAT rate is below the standard VAT rate of the Sub-Sahara which is around 16.86 % and the average standard rate of European Union which is 20.7%.

- The possible advantage of the differential VAT rates is save the low income groups from the negative consequences of the VAT rate. In other words, the differential rates promote progressivity.

Application of the VAT Rate under the Ethiopian VAT Legislation

A VAT can be calculated inclusive or exclusive of the rate in the price of the good or service. The application of the VAT-exclusive method is very simple as it is calculated by simply applying the rate to the sales price. In principle the VAT-exclusive method is used in the credit-invoice method of the Ethiopian VAT legislation.

Application of the VAT-inclusive method is an exception where certain transactions are difficult to the VAT-exclusive method. However, it must be understood that the VAT which is collected using the VAT inclusive method is equal to the VAT collected using the exclusive method.

The following transactions are some of the examples that use the VAT inclusive method in the Ethiopian VAT system.

- A. Post- Facto Transactions:** This is the case where a person engages in transactions without registering for the VAT despite being obliged by the law to be registered and collect VAT for the government. Any person whose annual turnover exceeds one million birr and who is engaged in taxable activity for consideration is obliged to register. If he continues supplying goods or services without fulfilling such obligation and the tax authority later discovers this fact, the supplier will be obliged to pay VAT on all the earlier transactions. This is because it is assumed that all his prior sales contain the VAT amount that could have been withheld and paid to the government.
- B. Used-Car Dealing:** When used car dealers buy cars from owners, they are not able to obtain invoice since the owners of the car are not registered for the VAT and are not entitled to an issue invoice. Nevertheless, the used car dealer, just like any VAT registered businessman, has the right to get credit for the input VAT he has paid.
- C. Lottery Sales:** since it is inconvenient for the Ethiopian national lottery administration to issue receipts for each lottery sale, VAT inclusive method is used.
- D. Sale of Telecom Services:** Ethio-telecom sells airtime to millions of its customers throughout the country. Hence, issuing invoice for each and every sale and calculating VAT for each sale using the VAT exclusive method is impossible.

Calculation Formula of VAT in case of inclusive method is, summation of the aggregate sale value (including any consideration) **minus 15%**

Taxpayer Control Mechanisms under the Ethiopian VAT Legislation

1. Taxpayer Registration

Registration is one of the mechanisms that help bring a person within the control of the tax authorities. Because it is only registered or persons who are duty bound to register are required to file (record) tax returns. A person who is required by the law to register for the VAT has an obligation to collect VAT even if he is not actually registered.

The registration certificate which is issued by the tax authority Contains;

- a. The full name and other relevant details of the registered person
- b. The date of issuance of the certificate
- c. The date from which the registration takes effect; and
- d. The registered person's taxpayer identification number.³⁴

2. Deregistration (Cancellation of Registration)

There are three grounds for deregistration:

- ✓ When taxable person no longer meet the requirements, when the annual sales amount decline and drops below the threshold amount, in such a case a person may apply for deregistration.
- ✓ When the taxable person no longer engages in a taxable activity, in such a case the tax authority may cancel the registration on its own initiative.
- ✓ When the person is registered by mistake, in which case the tax authority may cancel the registration

Despite the application of the above three grounds for cancelation of registration in many jurisdictions, the Ethiopian VAT legislation provides only the first ground as the only reason for deregistration.³⁵

3. Invoice

It is document or receipt that is issued by a taxable person who makes a taxable supply and that records the supply and the amount of VAT payable on it. Ethiopian VAT legislation provide that only a taxable person who is registered for VAT has the right to issue a VAT invoice and to claim tax credit for an input VAT paid while purchasing only if he presents an input VAT invoice and an output VAT invoice. An invoice must contain the minimum information required by the law.³⁶

³⁴ VAT Proclamation No.285/2002 Article 18(3)

³⁵ Ibid, Article 19(1)

³⁶ Ibid, art 22(2)

(However, the Ethiopian VAT legislation seems to have omitted some relevant information that should have been part of the invoice, hence it should include the date of supply of goods and services when it is different from the date of issue of the invoice, and the VAT rate are also relevant information missed by the VAT proclamation).

A taxable person is, in addition to the obligation to issue invoice, also required to keep the record of invoices and other related documents for at least ten years.³⁷

4. VAT Returns (Refund Mechanisms)

5. Taxpayer Audit Mechanisms

The main purpose of the VAT audit is to find out the actual VAT liability of the taxable person according to the law.

VAT Assessment, Payment, Credit, Refund and Carry forward

A. VAT Assessment and Payment

The Ethiopian follows the self-assessment system of VAT payment. The tax liability of the person is calculated to be the difference between the tax collected on the taxable sales by the taxable person or output tax and the tax paid on purchases or inputs tax by the same taxable person.³⁸

B. VAT Credit and Conditions to Claim Credit for Input VAT

For a person to be able to claim tax credit he must first be a registered person or a person who has an obligation by the law to register, second, he must have already paid an input VAT on purchases or imports. Third, he must prove it by input and output invoices.

C. Treatment of Excess Input Credit (VAT Refund or Carry Forward)

The issues of VAT refund and VAT carry forward arise when the input VAT/credit for the VAT accounting period exceeds the output VAT collected by the taxable person. It is a key characteristic of the invoice-credit VAT that some taxable persons might pay more tax in their inputs than the tax due from their outputs. The excess input tax over output tax should be refunded or carried forward for the next accounting period for failure to do this will result VAT to be a tax on business than a tax on consumption.

Chapter Six: Turnover Tax Law in Ethiopia

Turnover tax is a tax that has a tremendous resemblance to VAT since both are consumption tax, and they are imposed on transactions when goods and services change hands. However, the way the two taxes are calculated, the individuals who need to register for payment, the tax base on which they are imposed the rate of tax applied etc. is different.

³⁷ Ibid art 37

³⁸ Ibid Art 20(1)

Meaning and history of Turnover Tax in Ethiopia

TOT also known as cascade tax is a tax that the government imposes on certain goods and services at every stage of production and transaction.

What makes turnover tax different from value-added tax is that it is imposed on gross receipts rather than on the value-added. Moreover, turnover tax does not have an input credit mechanism. It is also different from retail, manufacturers or wholesalers sales tax, which are all single-stage taxes, because of its multistage nature. By their nature turnover taxes are cascading as a tax is imposed at each stage of the transaction without the credit mechanisms imposed on inputs. What makes turnover taxes different from value added taxes is that they do not account for taxes already paid, with a new tax being collected at each stage of transaction.

Some countries simply exempted businesses below the VAT threshold from sales-based taxes altogether. Ethiopia, introduced turnover tax to fill the gaps created because of the VAT registration threshold.

Scope of the Turnover Tax

All persons who are not registered for VAT and who supply goods and render services except exempt supplies have an obligation to register for and pay turnover tax.³⁹

A person must be engaged in a taxable transaction, i.e. an activity which is continuous and regular, so that he will be obliged to collect turnover tax. Just like the registration for VAT (except the one million Birr threshold), those who must register for and collect turnover tax are those who;

- Supply goods or render services
- Are engaged in a taxable transaction
- Receive consideration for their supplies
- Supply the goods or services in Ethiopia or partly in Ethiopia

Rates of Turnover Tax

TOT has two different tax rates. Goods and services are treated at different tax rates. While all sorts of goods are taxed at two per cent (2 %), the services rendered by contractors, grain mills services, rentals of tractors, and combine harvesters are taxed at two percent (2%) whereas all other services rendered locally are taxed at the rate of ten per cent (10 %). The base used to apply the tax rates is the gross receipt or the base of turnover tax is the total price of the goods or services.

³⁹ FDRE, the Turnover Tax, 2002, Proc. No. 307

Assessment, Filing of Return and Payment of the Turnover tax

In principle, any businessman who is not registered for VAT has a duty to assess his tax liability by himself. However, the tax assessment of the category “C” taxpayers, who are not required by the law to keep books of account, is made by the tax authority based on a presumptive taxation using the total gross sale amount of the income tax. Turnover tax is based on a self-assessment system. This does not, however, mean that whatever the amount assessed by the taxpayers is acceptable by the tax authority.

Chapter Seven

Excise Taxes Law in Ethiopia

Excise taxes are a type of consumption or indirect taxes. They are imposed on the consumption of specifically selected items. The taxes are mainly imposed on goods; however there are cases whereby the scope of the taxes is also extended to services.

The administration of excise taxes is simple, the taxes are applied on limited types of goods and services and the computation of the excise tax liability is not complex.

Excise taxes are not imposed with the only intent of revenue-raising, but there are other objectives of excise taxes that are deliberately discriminatory in their intent. Hence, the taxes violate the neutrality principle of taxation.⁴⁰

Why Excise Taxes?

Excise taxes that are primarily designed to discourage consumption differ from those excise taxes whose primary aim is revenue generation.

1. **Revenue Generation:** The imposition of excise taxes on demand inelastic products is driven by the revenue needs of states.
2. **Discouraging the Consumption of Undesired Goods**
3. **Correcting Negative Externalities⁴¹:** The production or consumption of some goods, such as vehicles, fuels, alcohol, and tobacco products, bring harmful side effects on third parties (or the

⁴⁰ **What is the neutrality principle of taxation?**

⁴¹ Let assume that there is a factory that produces some consumable goods. The smoke at the factory pollutes the air. The pollution creates a health risk to the society that breaths the air. The pollution of the air is a cost of production. But it is not included in the price of the product to clean the air. The pollution is shifted to the society. This is called

society in general). For instance, vehicles create environmental pollution or climate change by emitting gases and Smoking cigarette poses a health problem for non-smokers. Governments may spend the excise tax revenues on correcting the negative externalities.

Pigouvian Taxes Versus Sin Taxes

The main rationales behind the Pigouvian and Sin taxes are internalizing the externality and discouraging consumption respectively. Excisable products like tobacco and alcohol generate negative externalities and they are also treated as undesirable or harmful products. Hence, the taxes on these products are both Pigouvian and sin taxes.

Note That;

- Pigouvian and Sin taxes are not always the same.
- Sin tax may not necessarily be a Pigouvian tax.
- Pigouvian taxes may not always be sin taxes.

Wagering (gambling) or sports betting does not have negative externalities, but wagering is subject to excise tax, which is sin tax. Hence, **Sin tax may not necessarily be a Pigouvian tax.**

Though driving a car is not a harmful activity in general, it generates negative externalities in the form of environmental pollution. Therefore this implies that, **Pigouvian taxes may not always be sin taxes.**

If a certain product is both harmful and generator of the negative externality (social cost) it is necessary to make the taxes both sin and Pigouvian taxes.

4. Improving vertical equity:

The imposition of excise tax on luxury goods is justified on the ground that the purchasers are high income earners and hence they should pay more taxes than the low-income earners. In developing countries, the excise tax on luxury goods rests on other objective-discouraging people from spending their money on luxury (non-productive, undesired) goods.

5. Benefit-Received Purpose

negative externality. Since the cost of air pollution is not included, the price of the product is low. This leads the consumers to purchase and producers to produce more products. More air will be polluted. The reverse would happen if the cost of production (air pollution) is included in the price of the product. The imposition of excise tax on the product reflects the full cost of production of the product because it includes the cost of pollution. It also makes the factory pay for the full cost of production. The tax will influence the factory to reduce its production thus reducing the level of pollution. In this case, the excise tax internalizes the externality.

Types of Excise Taxes

- Based on the method of assessment of the tax liability, excise taxes could be categorized as specific taxes and ad valorem taxes.

Specific taxes are determined based on a physical unit of measurement of the excisable goods, such as their weight, length, or volume. E.g. If 1 Birr of the excise tax is imposed per 1 pack of cigarettes; this type of excise tax is a specific tax.

Pros and cons of the specific excise taxes

- **Pros:** the computation of the tax based on the physical attributes of the good is easy to administer as the physical attributes of goods can be easily observable by tax officers.
- **Cons:** the method may become inequitable as more excise tax could be imposed on large numbers of cheap goods than on small numbers of expensive goods.

Ad valorem taxes are determined based on the value of the goods, as a certain percentage of the value or price of the excisable goods. E.g. If the amount of excise tax is equal to 10% of the value of the excisable good, such as automobiles, then this is an example of ad valorem tax.

Pros and cons of the Ad valorem excise taxes

- **Pros:** it makes the tax system more productive and equitable, since the tax liability is a certain percentage of the value of the goods, the tax base would not be affected by inflation.
- **Cons:** the determination of the value of the good is not always simple. It involves complex processes.

Based on the type of the market channel where the tax is imposed, excise taxes classified as manufacturers' excise taxes and retail excise taxes.

Manufacturers' excise taxes are imposed on the producer or importer of the excisable item. Imposing the excise taxes early at manufacturer level limits the number of taxpayers, lowers the cost of enforcement, and enhances compliance.

Retail excise taxes are imposed on the retailer or, in other words, at the last point of sale to the ultimate buyer.

With Respect To the Objective They Want To Achieve, We Can Put Excise Taxes Into

1. Revenue excise taxes (excises imposed for revenue purposes only)

2. Sumptuary or sin taxes (excises imposed to discourage consumption of goods like tobacco products, and alcoholic beverages)
3. Pigouvian excise taxes (excise taxes imposed to correct negative externalities)
4. Benefit principle-based (or earmarked) excises taxes
5. Luxury excise taxes.

Objectives of the Excise Taxes

The preamble of the proclamation No 1186/2020 states that it is necessary to impose excise taxes on goods and services that are luxury, hazardous to health, cause social problems.

Old vehicles cause more pollution than new vehicles, so higher tax rate is imposed on them, which are 400% and more whereas new vehicles are subject to minimum tax rates.

The Territorial Application of Excise Taxes

The international and national practices show that the destination principle has more predominant application than the origin principle. Ethiopian excise regime adopts the destination principle.

The Excisable Items

Even though the Excise Tax Proclamation regulates excisable services in its different parts, such as Articles 5, 6, 7, and 9, no schedule specifies the services subject to excise taxes. The schedules attached with the Proclamation deal with only excisable goods.

The Tax Base (Excise Value) and Rates (tariffs) of Excisable Items

The excise tax regime of Ethiopia uses a mixture of specific and advalorem measurements of tax bases. For the majority of the excisable goods, it is the value of the goods that serve as the tax base. There are a few cases whereby the tax base is measured according to the physical nature and value of the excisable good.

Excise tax rates/tariffs⁴²

The Taxable Events and taxpayers of Excise Taxes

Excise tax legislation specifies the taxable event that shows the occurrence of the legal condition/s necessary for the excise tax to become chargeable. An excise tax liability is established when one of the following taxable events occurs:

1. For locally manufactured excisable goods

⁴² See art 10 of the proclamation No. 1186/2020

It is when the goods are removed from the manufacturer's factory. The removal of the goods from the factory implies the release of the goods for consumption. As long as the goods remain in the factory, the duty to pay excise tax does not arise. The mere removal of the goods even without a sale triggers the tax liability.

2. For excisable services, the duty to pay excise taxes shall arise at the time of the supply of the services.
3. For excisable imported goods, the duty to pay excise taxes shall arise at the time of importation to Ethiopia.

The excise taxes of Ethiopia are imposed on manufacturers, service providers, and importers. Wholesalers and retailers do not have the legal obligation to pay or collect the taxes. According to Article 6 of the proclamation persons who must pay excise taxes are:

- a. Licensed manufacturers - with respect to locally produced excisable goods
- b. Registered Persons - with respect to excisable services
- c. Importers - with respect to excisable imported goods⁴³

Since excise taxes are indirect taxes, the above persons have the opportunity to shift the excise tax burdens to ultimate consumers of the excisable items through their prices.⁴⁴

Assessment and Payment of Excise Taxes

For excisable products that are taxed on an ad valorem basis, the excise taxes are calculated by multiplying the excise tax base (value) by the applicable tax rates (tariff).⁴⁵

Self-assessment is the rule concerning excise taxes⁴⁶. The excise taxes are assessed and submitted to the tax authority by the excise taxpayers themselves.

When it comes to the excisable imports the assessment modality changes to a withholding system Excise taxes on imports are assessed and paid to the tax authority in accordance with the rules that are applicable

⁴³ Unless required to do so by a directive to be issued by the Minister of Finance, importers are not required either to get licensed or registered for excise tax purposes. Art 15 of the excise proclamation

⁴⁴ If the person that is liable to pay excise tax is an importer that assigns the imported good for home or personal use, the excise tax will remain with the importer.

⁴⁵ For instance, a sugar factory sells 100 quintals of sugar to a wholesaler at a total price of 400,000 Birr (4000 Birr per 1 quintal). According to the Excise Tax Proclamation, the excise tax rate for Sugar is 20% of the excise tax base (value). The payable excise tax is 80,000 Birr (i.e. 400,000 x 20%).

⁴⁶ Excise Tax Proclamation (No. 1186/2020), art 14

on custom duty.⁴⁷ Customs officers take the charge of assessment and collection of taxes on imports, including excise taxes.

The Controlling Mechanisms introduced by the Excise Tax Proclamation (No. 1186/2020)

➤ Licensing/Registration

To engage in the domestic production of excisable goods, importation of excisable goods license shall be issued by the tax authority. The licensing allows the tax authority to have full knowledge on those persons that engage in the excisable activities and to check whether or not they comply with their tax obligations.

➤ Excise Control

Tax authority shall have the right to control the excisable goods stored in the manufacturer's factory. The excisable goods are subject to a physical examination by the authority.

➤ Excise Stamp

An excise stamp is a piece of paper or mark that is affixed on the excisable products to indicate that the required excise taxes have been paid. Usually, excise stamps are sold by the government to persons that engage in excisable activities.

➤ Keeping of Records

The Proclamation requires taxpayers to keep records of the excisable items in a form and manner that are specified by the applicable laws.

Chapter Eight

Customs Duties Law in Ethiopia

In addition to revenue generation, customs regimes are organized to regulate the flow of goods into and out of a country by setting what is known as customs procedure. Currently, Ethiopia is a land-locked country, where most exports and imports are entertained through Djibouti (90%), the airport at Addis Ababa (5%), and Sudan.

One can note three major problems in the Ethiopian customs administration and revenue collection system.

⁴⁷Article 37(4)

First, Ethiopia is one of the countries with the highest set of challenges (such as trade facilitation problems) in cross-border trade. There is a delay in custom operations, which leads to higher transaction costs, and trade facilitation remains a serious policy and academic concern.

Second, illicit trading activities across a border such as contraband and smuggling are invasive socio-economic perils deep-rooted in the Ethiopian cross-border trading system. Importers, exporters, and their agents are commonly involved in these activities violating the law that governs the customs procedures and avoiding the payment of all applicable taxes and duties. Such problems in the import-export trade threaten the legal industry, restrain innovation and investments, reduce government revenues, fuel transnational organized crime, and hamper the health and safety of consumers.

Third, despite the fact that there is a high reliance on taxes and duties on foreign trade, the revenue collection performance remains low and unproductive. Currently, Ethiopia levies five kinds of taxes on import items (customs duty, excise tax, VAT, surtax, and withholding tax)

8.1 Understanding Customs and Custom Duties

Customs defined as “a government authority designated to control the flow of goods to/from a country and to collect duties levied by a country on imports and exports and the procedures involved in such activities”. Customs duties are one of the oldest forms of indirect taxation and are paid on goods when they cross international borders or are transported between countries.

The types and amount of duties differ from country to country depending on their level of engagement in international trade, their commitments to trade-related international or bilateral agreements, and economic circumstances. Unlike the case in the majority of taxes, revenue generation is secondary or incidental and the primary role of custom duties lies in the foreign and trade policy of a country. In the majority of cases, customs duties are imposed to protect domestic production by making imported goods more expensive. Custom duties have also a corrective role to play. For instance, if the consumption of some good generates pollution, increasing its price by imposing a tariff on imports may increase social welfare.

Despite its benefits, customs duties are criticized for being barriers to trade, limiting consumer choice and hence, reducing the standard of living. In developing countries like Ethiopia, which for the most part, rely on international taxes and duties for their revenue, customs organizations are primarily tasked with the collection of duties and taxes.

Customs duties can be classified into two forms based on the base it is levied:

- Ad valorem Duties and

- Specific duties.

Ad valorem duties are taxes, duties, or fees that vary depending on the value of products, services, or property on which they are levied. They are expressed as a percentage of the value and most the countries apply this system. The preference for ad valorem duties re-emerged during the industrial era when it was realized that the system offered greater protection than specific duties, as it was more adaptable in the face of price fluctuations and differences in the quality of goods.

Specific duties are duties, taxes or fees levied based on specific measures of goods such as number, weight, volume, area, capacity, etc. A specific sum is imposed on each article regardless of its individual value, for example, price per liter of fuel.

8.2 Import and Export Procedures in Ethiopia

Activities in relation to import and export are done under a process called customs procedure carried out in compliance with the customs law and internationally accepted standards.⁴⁸

Customs laws do not only refer to customs proclamations but rather a wide range of regulatory laws. The Ethiopian Ministry of Trade and Regional Integration is the major body of the government to regulate all import and export goods. In particular, it issues import and export release permits.

The Ethiopian investment commission; issues and renews investment permits, which serve also as import permits, as well as custom duty-free permission letters.

The National bank of Ethiopia (NBE); which regulates the foreign currency aspect of import-export, The responsibility of the NBE includes registration of sales contract agreement; issuing Export Bank Permit; issuing Foreign currency Approval; and issuing Bank import permit for Letter of Credit, (Open L/C), Advance Payment, approving Purchase, and order for cash against document (CAD).

There are also other regulatory bodies that specifically issue import and export permits for specific goods.
For example;

The Ministry of Agriculture and Live Stock; issue import permit for plants, seeds, plant products, pesticides and fertilizers, and export permit for animal feed, live animals and meat products; the **Ministry of Mines and Petroleum;** issue permit for the exportation of mineral products

The Food, Medicine and Health Care Administration and Control Authority (FMHACA); regulates the import and export of drugs, medical supplies or instruments, baby food, supplement food, and

⁴⁸ Ethiopia has not yet acceded to the WTO

cosmetics; and the Information Network Security Agency (INSA) issue Import permit for communication and security equipment.

Steps That an Importer or Exporter Has To Pass Through⁴⁹

Steps to import goods	Steps to Export goods
1. Obtain an import license/investment license	1. Obtain an export license
2. Obtain a pre-import permit (for certain restricted goods only)	2. Arrange payment issues
3. Arrange payment issues (a) Foreign currency approval (b) Obtain bank permit/arrange mode of payment or Franco valuta permit	3. Collect documents
4. Collect commercial documents required for customs declaration	4. Obtain export permit (for goods restricted for export only)
5. Prepare the customs declaration	5. Prepare customs declaration
6. Submit the customs declaration	6. Submit customs declaration
7. Obtain import customs clearance and goods release note	7. Obtain export customs clearance and ship goods
8. Pay service charges, exit goods from a customs warehouse, and receive final import customs declaration	8. Pay service charges and receive final export customs declaration
9. Submit clearance declaration to NBE	9. Submit clearance declaration to NBE

8.3 Prohibitions and Restrictions

Almost all goods, except certain prohibited goods as defined below, are allowed to enter or exit from Ethiopia and are subject to the usual common custom procedures such as presenting declarations of goods, transit of goods, clearance of goods, and customs warehouse procedures. Prohibited goods are defined under Article 2(30) of the proclamation as goods of which the importation, exportation or transit is prohibited by Ethiopian law or international agreement ratified by Ethiopia. These prohibitions are aimed at protecting society from harm such as to health, environmental concerns e.tc. In addition to the customs proclamation, similar prohibitions can be read from other laws. For instance, the grant of a permit for the manufacture or importation of any non-biodegradable plastic bags with a wall thickness of 0.03 millimeters and less than 0.03 millimeters and the importation of used tires into Ethiopian territory for the purpose of disposal is prohibited under Article 8(2) and 9(1) respectively of the Solid Waste Management Proclamation No.513/2007 because of environmental concerns.

As per article 2 (31) of the customs proclamation, restricted goods are goods whose importation, exportation, or transit is restricted by a competent authority in accordance with legal procedures. Such

⁴⁹ See Ethiopian Customs Guide, 2017 pp. 15-34

goods are made subject to certain certification of quality or standard for regulatory reasons. Laws other than the customs proclamations also require the fulfillment of certain conditions to import or export some goods. For example, the importation of food, cosmetics, medicine, medical equipment, and tobacco are subject to licensing and certification under Food and Medicine Administration Proclamation No.1112/2019.

8.4 Customs Operations and Formalities

Customs operations involve the administration of customs law relating to the importation, exportation, movement or storage of goods and the collection of duties and taxes.

Goods declaration is a statement made in accordance with the provisions of the Customs Proclamation, by which the declarant indicates the customs procedure to be applied to import, export, or transit goods and by which the declarant furnishes the particulars of the goods which the customs administration requires for its application. In principle, all import, export, or transit goods need to be declared. Yet there are some goods that are exempted from requiring a goods declaration depending on their nature or use. For example, non-commercial goods imported or exported for personal and home use, and Goods related to the security and defense of the country are not required to pass through the steps of declaration.

The intentional entry made with the view to evade duty and tax may entail criminal or civil liability. However, a declarant can amend some of the particulars in the declaration before it is accepted and taxes and duties are paid on it.⁵⁰ It can also be canceled.⁵¹

There are four forms of goods declaration through which declaration of goods may be made. These are in written form, orally, by bodily action, and electronic. Bodily action is when a traveler passes either through the green or red channel, whereby the former denotes that no taxable good is carried. A traveler's verbal declaration to a customs officer is accepted as an oral declaration. However, when the good has a commercial nature, a written or electronic declaration must be made.

Once the goods declaration is submitted, it can be accepted or rejected. A declaration is said to be accepted when it has been registered in the customs system. If the Customs Commission has to reject a declaration, the declarant will be notified in writing, and the reasons for rejection will be explained. Possible reasons for rejection include missing required documents or errors in completing the declaration.

⁵⁰ Article 14 of the Proclamation No.859/2014

⁵¹ Article 15 of the Proclamation No.859/2014

Customs Transit and Transshipment

Customs transit refers to customs procedures under which goods are transported under customs control from one customs office to the other.

According to Article 16(2) of the Proclamation, goods being carried under customs transit shall not be subject to the payment of duties and taxes provided the conditions laid down by Customs Commission are complied with and security has been furnished for this purpose. The Customs Commission, when permitting a transit operation to be carried out, requires security, usually a financial guarantee or security, with a view to securing the duties and taxes of goods in transit, thereby reducing the risk of the goods being diverted for inland consumption without duty and tax payment.

In practice, the procedure applied distinguishes between transit under multimodal and unimodal transport. Article 16 of the Proclamation provides that there are four types of customs transit procedures allowed in Ethiopia:

1. Through transit (office of entry to office of exit),
2. Import transit (office of entry to inland customs office),
3. Export transit (inland customs office to the office of exit) and
4. Internal transit (one inland customs office to another).

A national customs transit procedure covers only transit in one customs territory with the offices of entry and departure in the same customs territory. This is purely domestic movement, such as movement from a border station, port, or airport to a customs office or bonded warehouse in the interior of the country.

Multilateral transit procedures (bilateral, regional, or international) on the other hand cover transit across several customs territories. For the purposes of customs control, transit goods must enter or exit through prescribed customs ports or customs crossings and be transported through prescribed routes.

Customs transit operations are terminated when the goods are presented at the office exit of a customs territory or the office of the final destination, where customs authorities should verify that no unauthorized interference with the goods has occurred. If goods in transit are not presented to the customs station of destination within the prescribed time limit and the declarant has failed to report the reasons, the guarantee secured will be forfeited to the government. Customs authorities normally only release the operator from his financial liability subsequently, when it has been verified that the transit operation has actually been correctly terminated and discharged. In case of detected irregularity, interference, or fraud the customs proclamation normally require that the responsibilities of the persons involved in the transit

operation be determined and lost duties and taxes subsequently recovered, principally from the person(s) engaged in the unlawful practice or, as a last resort, from the guarantee provided as security.

Transshipment is the customs procedure under which goods are transferred under customs control from the importing means of transport to the exporting means of transport within the area of one customs port, which is the port of both importation and exportation. Although a goods declaration has to be submitted, no duties and taxes are paid on goods being transshipped.

Customs Warehousing

Customs warehousing is defined as the customs procedure under which goods are stored under customs control in a designated place (a customs warehouse) without payment of duties and taxes. The main purpose of the customs warehousing procedure is to facilitate trade. Since goods deposited in a customs warehouse are not liable to the payment of duties and taxes (until the goods are cleared), it allows the owner of the good to negotiate the sale or manufacturing.

The custom proclamation introduces three kinds of custom warehouse classifications based on the purpose and the legal status or the custom procedure attached to the goods in question.

1. Temporary customs storage
2. Bonded customs warehouses
3. Government customs warehouses.

Temporary customs storage are enclosed or open premises in which import, export, or transit goods are stored under customs control until either the completion of customs formalities or transfer to bonded customs warehouses or government warehouses, as the case may be. They also include dry ports established and Ethiopia has 8 dry ports so far. These are which are Modjo, Gelan, Mekelle, Kombolcha, Semera, Diredawa, Kality, and Woreta dry Ports.

Bonded customs warehouses are warehouses where goods are stored under customs control without payment of duties and taxes. Important examples are duty-free shops (which are established in international airports or, where necessary, in other places in which duty and tax-free goods are sold to international travelers and other duty-free privileged persons) and bonded factories (bonded factories produce goods under customs control using raw materials and accessories acquired without payment of duty and taxes.)

Goods are released from temporary customs storage or bonded warehouses in any of the following situations:⁵²

- Released for home use upon payment of taxes and duty due thereon;
- Transferred to a factory under customs control;
- Transferred to another customs warehouse or released for transit;
- Released for export; or Released for sale in the duty-free shop

Government customs warehouses; are warehouses where goods seized or forfeited for violating customs law are stored under customs control until they are sold or disposed of. Abandoned goods can also be stored in government customs warehouses. Unlike the other two types of warehouses, government customs warehouses are run by the Customs Commission. Generally, the main purpose of the customs warehousing procedure is to facilitate trade and, specifically, the next customs operation.

8.5.4. Customs Clearance

Custom clearance is the accomplishment of the Customs formalities necessary to allow goods to enter home use, to be exported or to be placed under another Customs procedure” and release as “the action by the Customs to permit goods undergoing clearance to be placed at the disposal of the persons concerned’’.⁵³ The definition provides for two core customs operations as part of customs clearance. One is the completion of legally laid down formalities that the specific goods in question are required to undergo based on the purpose for which the goods have been imported, exported, or to be placed under another customs. The other one is the release of goods for free circulation or for the purpose they have been brought in.

These procedures relate to cargo importation into Ethiopian territory according to the customs proclamation. According to Article 2(2) of the Customs Proclamation, the term “cargo” includes any goods imported or exported by any means of transport other than stores for the purpose of transport (i.e. goods to be consumed during the journey, such as spare parts or food items) for commercial use and for baggage of travelers. The term cargo importation clearance procedures mean the accomplishment of the customs formalities necessary to allow cargo to enter into the customs territory and to release it for the purpose for which it has been imported. Accordingly, the clearance procedure includes submission of the goods declaration, acceptance or rejection of the goods declaration, and checking the goods declaration against the documents produced (invoice, bill of lading, certificate of origin, permits, etc.).

⁵² Article 52 of the Proclamation No.859/2014

⁵³ World Customs Organization, General Annex: Chapter 2 of the Revised Kyoto Convention, 17 April 2008

One might reasonably ask, should customs perform all these procedures for all goods imported or exported? What does the international practice show in this regard? The international trading environment has been concerned with the speed of transactions and with the sheer volume of goods now being traded around the globe. This, together with mounting pressure from the international trading community to minimize government intervention, has caused customs authorities to place an increasing emphasis on the facilitation of trade. In an effort to achieve an appropriate balance between trade facilitation and regulatory control, customs administrations are generally abandoning their traditional, routine “gateway” checks and are now applying the principles of risk management, with varying degrees of sophistication and success.

Ethiopian customs proclamation made risk management the foundational principle in the conduct of customs operations, including customs clearance. Risk management is defined as a system of management by which different risk bands are categorized on the basis of their risk levels in light of fair customs service provision and control with respect to goods brought to or taken out of customs territory.

To define the term in a more granular way, risk management has been defined as a procedure conducted on goods imported, exported and in transit based on the risk level assigned to goods on the basis of criteria designed having in view the balancing of custom service and control. Among these criteria are such factors as the importers' profile, the imported goods' country of origin, and value. This has led to a classification of imported and exported goods in different risk levels. As stipulated under Article 2 (41) and 23 of the customs proclamation, examination of documents and goods are the main tasks performed in making sure that imported goods comply with the customs laws. Classification of risk levels based on the principles of risk management aids in this task.

A Blue Risk Level;

Implies a channel through which imported goods reached destination is released or export goods at departure point are allowed to depart, as the case may be, upon the presentation of declaration entered for the goods without the need for examination of documents. This risk level is assigned to Authorized Economic Operators. In such instances, where goods are released without physical examination or examination of documents, or both, the control is to be accomplished through a post-clearance audit process which may be done after the release of goods within five years from the date a goods declaration has been accepted pursuant to Article 121(1)(4) of the custom proclamation.

Green Risk Level (Low) is similar to Blue Risk Level except that it applies to everyone meeting the requirement.

Yellow Risk Level (Medium); prescribes only document examination for both export and import goods. This means that there is no physical examination of goods.

Red Risk Level (High); refers to a channel that requires both the document and physical examination of goods for imported and exported goods as per the Directive Determining the Physical Examination and Priority Goods upon Which Customs Procedure is Performed No.159/2011.

Once the risk level has been determined for both imported and exported goods and after the goods are subject to whether document examination or physical examination (or both) that is required, the next customs clearance procedure could be one of several results. These include the release of the goods if they are imported for home use, release for the purpose they are imported for, releasing them for departure if they are goods meant for export, or subjecting the goods to another procedure as the case may be. Such a generalized procedure works for the goods imported as long as no violation of customs laws is proved or the provisions laid down in article 25 and article 27 of the custom proclamation are complied with.

8.5.5. Customs Valuation

Customs valuation is the procedure applied to determine the value of imported goods for the purpose of levying ad valorem customs duties. Customs valuation is crucial because, without customs valuation, it is not possible to determine the customs duties and other taxes which are payable when goods are imported or exported. In Ethiopia, determining the true customs value allows us to determine the amount of withholding income tax at the time of importation as indicated in Art. 51 of the Income Tax proclamation, the amount of VAT to be collected in relation to the importation of goods (Art. 15 of the VAT Proclamation No. 285/2002), the surtax on the importation as per Import SurTax Council of Ministers Regulations No.133/2007, and the excise duty as per the Excise Tax Proclamation No.1186/2020.

At the international level, the existence of different and unstable valuation systems was a major obstacle to the growth of trade. As a solution to this diversified practice, countries have agreed on international rules. One of the prominent rules is the WTO agreement on customs valuation, which aims for a fair, uniform and neutral system for the valuation of goods for customs purposes. Although Ethiopia is not yet a WTO member, the Ethiopian customs valuation methods, which are laid out in Articles 89-100 of the Customs Proclamation and in the Customs Duty Paying Value Determination Directive No.158/2011, have been designed in line with the WTO Agreement.

The customs valuation rules and other related provisions listed in articles 90-101 are to be applied while determining a dutiable value for determining the customs tariff and import charges, as well as for applying non-tariff measures prescribed by laws governing foreign trade. The dutiable value for imported

goods is to be the actual total cost of goods up to the first entry point to the customs territory of Ethiopia and it is the actual total costs of goods up to the final exit point from the customs territory of Ethiopia for export goods.

The Custom Commission; recognizes six different customs valuation methods. The application of methods is so strictly hierarchical that method 1 is the default method and only if it is impossible to apply in the specific case that Method 2 can be tried, and so on. For the application of each method, evidence for the value of the good must be produced and any documents and information about an importation required by a customs officer must be provided.

Method 1 (the “transaction value method)

as provided under Article 90. According to this principle, the customs value of imported goods shall be the price actually paid or payable for the goods and costs. The fact that it can be adjusted where necessary is set forth in Article 99 of the Customs Proclamation. Thus, there are four key elements of the transaction value that include sale, price actually paid or payable, the goods sold for export to Ethiopia, and adjustments. In the latter case, where the buyer and the seller are related persons, the transaction value is considered as the basis of the valuation if it is accepted by the Authority. If the seller and the buyer are related as described above, they may stipulate a simulated price so as to evade the actual customs duties and taxes to be paid to the government. The question is when a buyer is and a seller deemed to be related. This question can be easily answered by consulting the tax administration proclamation.

Method 2 “Transaction Value Of Identical Goods” Method

Where the transaction value of imported goods cannot be determined on the basis of Method 1, it is determined by taking the transaction value of identical goods sold for export to Ethiopia at the same commercial level, in substantially the same quantity pursuant to Article 91.

However, what does that means by identical goods? In order to properly apply this article, we need to understand the meaning of identical goods. Identical goods are goods defined in the customs proclamation as goods produced in the same country as those being valued.⁵⁴ They must also be the same in all respects, such as physical characteristics, quality, and reputation, and be imported within ninety (90) days of the goods to be valued. Where two or more countries are involved in the production of a product, the origin of the product is the country in which the last substantial manufacturing or transformation process of economic value took place.

⁵⁴ Article 2(27) of the Proclamation No.859/2014

Method 3 “Transaction Value of Similar Goods Method”;⁵⁵

Where the transaction value of imported goods cannot be determined on the basis of Methods 1 or 2, it is determined by taking the transaction value of similar goods sold for export to Ethiopia at the same commercial level. This method is similar to method 2 except that the goods under consideration are similar goods defined as goods that differ in some respects from the goods being valued, but those are produced in the same country, have the same function, and are commercially interchangeable. ***One can pose some logical questions like what are similar goods and how do we determine whether goods are similar or not.*** Similar goods are defined by Art. 2(28) of the proclamation as:

“similar goods means goods which, although not alike in all respects, have like characteristics, and component materials, perform the same functions, and to be commercially interchangeable; and the quality, origin, reputation and the trade mark of which are among the factors to be considered in determining their similarity”.

Method 4 “Deductive Value Method”

The customs value of imported goods can be determined by what is called the deductive value method provided under Art. 93. The customs value of goods can be determined by using the unit price of identical or similar goods imported at or about the same time and which are sold in Ethiopia in their original state in the greatest aggregate quantity to persons who are not related to the seller. However, the price must be reduced by an amount of commission, expenses and profit equal to that usually reflected in sales within Ethiopia of identical or similar imported goods, and the usual charges for the transport, insurance and other related costs to be incurred within Ethiopia for identical or similar imported goods.

Method 5 (Computed Value Method)

As stipulated in Article 94. If the customs value of imported goods cannot be determined by the foregoing methods, the Ethiopian customs proclamation contains yet another method called the computed value method. According to this method, the customs value of imported goods can be based on the sum of the cost of manufacturing or processing the goods in the country of origin, an amount representing the selling expenses and profit equal to that usually reflected in the sale of identical or similar goods by producers in the country of export; and the transport, loading, unloading, handling, and insurance costs associated with the transport of goods to the port of entry into the customs territory of Ethiopia. We need to bear in mind that the above elements should be met cumulatively. However, one may ask how the Ethiopian Government can know the above costs of the goods given the fact that these elements are beyond the

⁵⁵ Art 92

jurisdictional limit of Ethiopia. Has Ethiopia put in place mechanisms that help the Authority to know the cost of manufacturing or processing the goods in the country of origin? In sum, can the computed value method be applied by the Customs Commission currently? Although applying this method seems to be difficult, Article 10 (1)(f) of the customs proclamation and article 24 of the Customs Duty Paying Value Determination Directive No.158/2011 requires the declarant to adduce all the evidence needed that substantiate his method of customs valuation. This goes in line with the principle of self-assessment in customs procedure envisaged under article 5 of the proclamation.

Method Six (Fallback Method)

Which is regulated under Article 95. If the customs value of imported goods cannot be determined by the aforementioned methods according to the order they have appeared in the Proclamation, it can be determined based on the data available in Ethiopia and by using equitable methods. However, these methods should be consistent with the general principles of this Proclamation although there are certainly worrisome and perplexing issues arising in relation to this method of determining the customs value of imported goods. For instance, it is doubtful that there are data that can be availed of by the Commission. Which organ of government is expected to maintain these data? What is the nature of these data? The other problem is that this method may open the door for corruption, mistreatment of the importer and the like since this method gives wide discretionary power to the Commission. Accordingly, article 12 of the Customs Duty Paying Value Determination Directive No.158/2011 provides the details and the requirements needed to use this method of customs valuation.

8.5.6. Tariff Classification

Once the customs value of imported goods is determined, the amount of customs duties payable can be read from the relevant tariff book, which consists of tariff classification numbers assigned to goods and a corresponding tariff rate in the form of tables.⁵⁶ Classification can be a difficult undertaking but is an essential part of customs and trade compliance. No international instrument, including the GATT, contains rules regarding tariff classifications.

In short, tariff classification is the process of determining the particular tariff heading or sub-heading of a commodity. classification is done on the basis of the description of the commodity, composition and other technical specifications, manner of presentation (e.g. packing for retail sale), degree of manufacture and function or use. The most important function of tariff classification is its role in determining the duties

⁵⁶ A customs tariff book essentially comprises two elements: a goods nomenclature and a list of tariff rates. The goods nomenclature is commonly based on the Harmonized System.

and taxes to be applied. The declarant is legally responsible for goods' correct tariff classification. There can be of course binding information regarding tariff classification.⁹⁰ This is a written classification decision by the commission, given on request, which is legally binding, until revoked, on all customs branch offices within the customs territory. If the classification is done incorrectly a penalty may be applied at customs entry, arrears plus interest of duties and taxes that have been incurred over the previous five (5) years may be charged and goods may be delayed and/or seized.

8.5.7. Origin of Goods

Literally speaking origin of a good refers to the source place from which a good came or was found. Determining the origin of goods is important for the application of the customs tariff, quantitative restrictions, or any other measure related to trade. Duties and restrictions in several cases depend upon the source of imports. The Revised Kyoto Convention, which also guides Ethiopia's regime for the origin of goods, defines the country of origin of goods as the country in which the goods have been produced or manufactured, according to the criteria laid down for the purposes of the application of the customs tariff, tariff preference or of any other measure related to trade.⁹¹ But how should the origin of goods determine? There need to be rules of origin (national or international) setting criteria to determine the national source of a product. Rules of origin have become a challenging topic in international trade, not only because they constitute a highly technical area of rule-making, but also because their designation and application have not been harmonized across the world. The lack of harmony is even more remarkable in the era of regionalism when more and more free trade agreements (FTAs) are concluded, creating the spaghetti bowl effect.

Rules of origin can be classified into non-preferential rules of origin and preferential rules of origin. ⁹² Non-preferential rules of origin are those primarily designated in order to sustain the most-favored-treatment (MFN) within the World Trade Organization (WTO). These rules of origin are deemed "non-preferential" because they are applied on a non-preferential basis to determine the country of origin for certain purposes of application within the multilateral trading system. Preferential rules of origin are those associated with "contractual or autonomous trade regimes leading to the granting of tariff preferences going beyond" the MFN application. Rules of origin in FTAs and in the Generalized System of Preferences (GSP) are considered preferential because they help to determine the country of origin in order to grant preferential and special treatment to products originating in a contracting party or a beneficiary country. A condition for a good to benefit from any preferences accorded under such agreements is to prove that its origin is in a benefitting country.

In Ethiopia, the origin of goods is governed under the terms of Articles 104-108 of the Customs Proclamation. A declarant must submit documents proving the country of origin of goods, such as a certificate of origin. According to the non-preferential rule of origin in Ethiopia If goods have been wholly produced in one country, that country is the country of origin. Where two or more countries are involved in a good's production, the origin of the product is the country in which the last substantial manufacturing or transformation process of economic value took place. With regard to preferential Rules of Origin of Goods, in Ethiopia, special customs tariff rates are applicable to goods produced in and imported from COMESA member countries. The COMESA tariff rate has 10% deduction from regular rates. Zero customs tariff rates are applied to goods imported from Sudan. To benefit from these preferences, a good's origin in a COMESA member country, Sudan or Djibouti must be proven.

8.5.8. Temporary Importation, Exportation and Re-Exportation of Imported Goods⁵⁷

There are situations whereby goods may be temporarily imported to Ethiopia.⁹⁴ For example, goods necessary for trade promotion, technology transfer, tourism and cultural exchange, construction works, and consultancy can be temporarily imported. In such cases, importers are not required to pay duties and taxes provided that the goods are re-exported at the time of completion of the tasks that justified the importation of the goods and security equivalent to the duties and taxes payable with respect to such goods is provided.⁵⁸ If they are not re-exported within the time limit, the security provided for temporarily imported goods shall be transferred to the government treasury. Sometimes laws prohibit the temporary importation of particular goods. For example, spare parts and consumable goods cannot be temporarily imported because it is not possible to re-export such goods. Importers are also prohibited from using such goods other than the purpose for which they are imported or to use them out of the locality where the activities are carried out or transferred to other persons.

Like the case in the importation, goods may be exported temporarily by completing customs formalities. Where goods are temporarily exported for different purposes, such goods may be allowed to re-enter the country without payment of duties and taxes. However, some goods returning to Ethiopia pursuant can be subject to duties and taxes. Finally, some goods imported and declared for consumption in Ethiopia (home consumption), that are not prohibited or the entrance of which is not contrary to the law, may be re-exported at the request of the importer before completing customs formalities upon payment of 5% of the duties and taxes to be paid on the goods. By the same token, exported domestic goods that have been returned within one year because of their failure to meet the quality standards specified by the contract of sale or business relation that has been the basis for their export are relieved from customs duties and

⁵⁷ 93 Article 71-77 of the Proclamation No.859/2014

⁵⁸ Article 67 (1) of the Proclamation No.859/2014

taxes. However, the one-year period may be extended at the request of the interested party on justifiable grounds. Goods imported for home consumption may be re-exported and replaced without additional payment of duties and taxes upon the request of the importer within the time specified under the warranty certificate before their release for free circulation. This is possible when it is provided that the goods imported are incompatible with their intended purpose, defective, affected by an error of consignment, or incomplete.

8.5.9. Securities to Guarantee Compliance and Payment

Customs departments often require the provision of security to guarantee the payment of duties and taxes or compliance with the customs requirements and procedures.⁵⁹ *The Kyoto Convention from which Ethiopian customs law adopted* many concepts recognizes the procedure or practice of securities.

The Ethiopian customs proclamation chapter five deals with security to guarantee payment of customs duties and taxes. The proclamation under article 116 provides for the general conditions under which security may be required. Security is to be required to guarantee the payment of duties and taxes or compliance with the requirements related to duty and tax exemption privilege. The lists of the conditions which require security have been provided under article 117 of the customs proclamation. Such conditions are: when additional time is required to produce complete documents necessary for the completion of customs formalities; to ensure the re-exportation of goods imported on a temporary basis; to ensure transit goods exit through the approved customs routes or arrive at the predetermined customs point of destination; to ensure that goods which are produced by duty relieved imported raw materials are exported.

The Proclamation articles 118-120 specify the forms under which security is provided, the manner in which the amount of security is determined, and the discharge of the security once the obligations are fulfilled. Forms of security include cash deposits, bank guarantees, insurance bonds, and any undertaking provided for ensuring the fulfillment of an obligation to customs. The Ethiopian Customs Commission requires only one security to be furnished in respect of one payment of duties, taxes, and service charges. The person required to furnish security is allowed to choose any acceptable form of security. However, the commission may reject security where it is incompatible with the applicable customs procedure.

Regarding the amount of security, the principle is that the amount of security to be furnished shall not be less than the amount of duties, taxes and service charges. In cases where the amount of duties, taxes and service charges cannot be established with certainty, the amount of security will be equal to the maximum

⁵⁹ In Ethiopian case one can see provisions such as Article 16 (2), 40 (2), 71, and 116-120 of Proclamation No.859/2014

amount estimated by the commission. If the security furnished does not cover the debt due to any cause, the debtor will be required to furnish additional security or replace the original security with a new one. The duration of security may vary according to its type and purpose and is decided by the commission.

Finally, it's important to understand the role of the debtor and guarantor. If the debtor fails to discharge his/her obligations, the guarantor will be requested to effect the payment immediately. The guarantor and the debtor will be jointly and severally liable for the secured amount of debt, including interests and costs incurred. If the guarantor fails to effect payment, ERCA may apply the procedure prescribed under the Tax Administration Proclamation to seize the property of the debtor or the guarantor for the payment of the debt.

8.6 Payment of Customs Duties and Taxes

Unless otherwise provided by law, treaties, or decided by the Ministry of Finance, duties and taxes shall be payable for any imported or exported goods.⁶⁰ The declarant who makes goods declaration or in whose name such a declaration is made shall be liable for payment of the duties and taxes.⁶¹ A custom clearing agent is also liable jointly and severally with the declarant when he commits fault for the non-payment of duties and taxes.⁶² The duties and taxes are imposed and assessed on the goods on the basis of the law in force on the date of acceptance of the goods declaration.⁶³

'Duty' is a charge levied and collected on any imported and exported goods in accordance with the Customs Tariff Regulations issued pursuant to the Customs Proclamation and the Harmonized System. **'Tax'** means payment collected in accordance with the existing tax laws on imported and exported goods.

Currently, Ethiopia levies five kinds of duties and taxes on import items. These taxes and duties are assigned priority levels and are calculated in sequential order. These taxes, in their sequential order, are customs duty, excise tax, VAT, surtax and withholding tax.

The first of the five taxes levied on import items is customs duty. Accordingly, once the imported goods have been classified and thereby the customs tariff is determined. And the dutiable value is determined as per the custom valuation rules; the next step would be to determine the customs duty payable on the good. The tax base for customs duties is the actual total cost of the goods up to the first entry point to the customs territory of Ethiopia.⁶⁴ Thus, Customs duties are normally calculated as a percentage of the duty-paying value, also known as cost, insurance, and freight (CIF) value. This is the sum of the transaction

⁶⁰ Article 109 the Proclamation No.859/2014

⁶¹ Article 110

⁶² Article 110(2)

⁶³ Article 111(1)

⁶⁴ Article 89(2)

value (cost of goods), cost of transporting the goods from the original port of loading to the port of entry in Ethiopia, transport insurance, and other charges, such as loading and unloading charges, port charges, etc.⁶⁵ The duty rates to be imposed on the CIF vary across goods. The Standard duty rates vary between 0% and 35%. As a member of the (COMESA) preferential trade area, Ethiopia grants preferential customs treatment for goods originating from COMESA member states – a 10% reduction in the regular customs duty rates.

Excise tax is the second of the five taxes levied on import items and it is one of the most well-known forms of tax in Ethiopia. It is a tax levied on selected goods such as luxury goods and basic goods which are demand inelastic i.e. goods that shows no change at all in quantity demanded when the price goes up or down. Moreover, the excise tax is also applied to goods that are considered hazardous to health and that may cause social problems. Additionally, the government uses excise tax as a revenue-producing device. Excise duty rates now range from 0% to 500% and are levied on imported goods (of either the ex-factory price or CIF value plus customs duties), with the tax being applied to certain demand-inelastic and luxury items, as well as to goods that are assumed to have negative externalities (e.g. fuel, alcohol, tobacco).

VAT is the third of the five taxes to be levied on import items. In Ethiopia, VAT is levied at a flat percentage rate. To the exclusion of goods detailed in article 8 of the proclamation No. 285/2002 and goods exempted from VAT by the directive, VAT is levied on every imported item. Importers are liable to pay at a flat percentage rate of 15% on the sum of the CIF value, customs duty, and excise tax.

The surtax is the fourth of the five taxes imposed on import items. The surtax was introduced in the Ethiopian tax system on April 9, 2007. The council of Ministers issued a regulation to levy 10 percent surtax on imported goods. The imposition of surtax was necessitated to build the financial capacity of the government for interventions to solve the rise in the cost of living which is affecting consumers with low and medium income levels. The amount payable is calculated on the sum of the CIF value, customs duty, excise tax, and VAT.

Withholding tax is the fifth of the five taxes imposed on import items. This is an income tax collected on the import of goods for commercial use. The collected amount is treated as a tax that is withheld and is creditable against the taxpayers' income tax liability for the year. Thus, it is not a tax in itself, but rather a (partial) guarantee on the payment of income taxes. The Income-tax proclamation made effective a withholding tax of 3 percent on import items. The amount collected on imported goods shall be three percent of the sum of cost, insurance and freight (CIF value).

⁶⁵ Article 89(2)

Illustration of Computation of import duty and taxes

Duties are calculated as follows:

- Customs duty = [Duty-paying value * Customs duty rate]
- Excise tax = [(Duty-paying value + Customs duty) * Excise tax rate]
- Value added tax = [(Duty-paying value + Customs duty + Excise tax) * 15%]
- Surtax = [(Duty-paying value + Customs duty + Excise tax + Value added tax) * 10%]
- Withholding tax = [(Duty-paying value) * 3%]

For example, assume that Item “A” has been imported to Ethiopia and has a duty paying value of Birr 200,000.00, a customs duty of 35%, excise tax 60%, value added tax 15%, surtax 10% and withholding tax 3%.

The duty and taxes are calculated as follows:

Customs duty= [200,000.00 * 35%] = Birr 70,000.00;

Excise tax = [(200,000.00 + 70,000.00) * 60%] = Birr 162,000.00;

Value added tax= [(200,000.00 + 70,000.00 + 162,000.00)] * 15%= Birr 64,800.00;

Sur tax = [(200,000.00 + 70,000.00 + 162,000.00 + 64,800.00)] * 10%= Birr 49,680.00; and

Withholding tax= [200,000.00 * 3%] = Birr 6,000.00

Total duty and tax is the sum of customs duty, excise tax, value-added tax, surtax and withholding tax, i.e. Birr 352,480.00.

Duties and taxes can be assessed on the basis of advance information submitted by the declarant before the goods enter the customs port and where the commission finds an error in the assessment of duties and taxes, it will correct the error without prejudice to the legal liability of the person causing the error. Customs duty and other taxes on export items are waived purposely to encourage export.

In addition to taxes and duties, there are various service Charges that must be paid with respect to importation, exportation, and licensing. Warehouse licensing and renewal fees and scanning fees can be mentioned as good examples. According to the Customs Warehouse License Issuance Council of Ministers Regulations No. 24/1997, license and renewal fees for customs warehouses will be paid and all goods subject to examination with a scanning machine are charged 0.07% of duty paying the value for scanning.

A refund of duties and taxes may be claimed for overcharged duties and taxes⁶⁶, invalidated goods declaration⁶⁷, deteriorated, spoiled, damaged, destroyed goods, or short-landed goods. A claim for refund

⁶⁶ In such cases, a refund will be granted if the overcharge is a result of an incorrect commodity classification, tariff setting, valuation, or other calculation mistakes.

of duties and taxes will be considered only if it is submitted within one year after the goods have been imported or exported. The payment of duties and taxes shall be in cash or any other legal means of payment.

8.7 Customs Control and Law Enforcement

It is the responsibility of the Customs to handle international traffic speedily and effectively while ensuring that all movement of goods across the national borders is in conformity with the laws of the land. Essentially all goods brought into the country or taken outside the country must pass through authorized entry/exit points, be reported to Customs, and the importers/exporters must fulfill the prescribed legal and procedural requirements laid down under Customs Proclamation and allied laws including payment of the duties leviable if any. Accordingly, the Customs Proclamation lay down in detail provisions to deal with acts and omissions that violate the law and provide for penalties that can be imposed by authorities and punishments that can be imposed by courts of law. The law also empowers Customs officers to carry out searches, seize goods, documents, and conveyances, and forfeiture of goods and means of transport involved in such offenses.

The Customs Proclamation envisages two types of Customs offenses and their consequential punishments. ***The first is a penalty for violation of statutory provisions involving a penalty of money and confiscation of goods***, which can be imposed by the Customs Commission. Chapter one of the Customs Proclamation (Article 156 to 165) deals with the confiscation of goods and conveyances and the imposition of penalties.

The second is criminal punishment is imprisonment and fine; which can be granted only in a criminal court after prosecution. Both penalty and punishment can be imposed for the same offense.

Customs offenses and administrative penalties under Chapter one refers to the frequently occurring minor irregularities in trade and customs operations. The penalties are designed to rectify and punish offenses with minimal disruption of trade, as long and costly criminal proceedings would be disproportionate burdens on trade and on the flow of customs operations. The same Chapter also provides for self-executing mechanisms for enforcing administrative penalties. The same Chapter also provides for self-executing mechanisms for enforcing administrative penalties.⁶⁸ Accordingly, the Customs Commission has the power to enforce administrative fines by holding the release of goods that are related to the

⁶⁷ In such cases, duties and taxes will be refunded where a goods declaration is cancelled after duties and taxes have been paid and an application is submitted by the person concerned within the prescribed period.

⁶⁸ Article 148 of Proclamation No.859/2014

offense until the fine is paid. In case the value of the goods is not sufficient to settle the fine, the Customs Commission may seize the property of the importer in accordance with the Income Tax Proclamation.⁶⁹

Customs criminal offences and penalties under Chapter two are higher offences that mostly carry imprisonment for those convicted. The general principles embodied in the Criminal Code of 2004 are applicable for criminal offences⁷⁰ unless the Customs Proclamation expressly provides otherwise. Some customs offences and the corresponding administrative penalties they entail are the following ones: Importing, exporting or trying to export restricted goods without approval and also failing to get such authorization within one month is punishable with a fine no less than Birr10, 000 and no more than Birr 50, 000 (for a first offence the penalty is Birr 10,000, for a second offence Birr25, 000 and for a third offence and more, Birr 50,000).⁷¹ If the penalty is on an import good, it shall be re-exported by the importer within one month, while export goods shall be prevented from being exported.⁷² Importing or exporting concealed goods not registered in the customs declaration or goods in respect to which no accurate information is provided without paying duties/taxes will be subject to a fine equivalent to twice the amount of such duty and tax, on top of the settlement of the duty and tax payable provided that the duties and taxes that should have been paid on the concealed goods does not exceed 50% of the taxes and duty payable on declared goods and is less than one million Birr.⁷³ However, if the duties and taxes that should have been paid do not exceed 5% of the total duty and tax paid on the declared goods and the act is committed for the first time in a year the penalty will be waived for the importer. If concealed items account for more than 50% of the value of the goods described in the declaration, the matter will be criminally investigated under Article 169 of the Customs Proclamation (as amended).⁷⁴

Some of the customs criminal offences and corresponding penalties are the following ones: Obstructing or hindering the duties of a customs officer⁷⁵ entails a penalty of simple imprisonment for no less than six months and no more than one year and a fine no less than Birr5, 000 and no more than Birr 10, 000.⁷⁶ If force is used or when the offence is committed by an organized group, the penalty shall be from one to

⁶⁹ Ibid, Art 148(1)(2). The Income Tax Proclamation No. 286/2002 referred in the article has been repealed and replaced with The Federal Income Tax Proclamation No.979/2016; the seizure procedures provided under the repealed Income Tax Proclamation are now provided under the Federal Tax Administration Proclamation No.

⁷⁰ See FDRE Criminal Code Proclamation No. 414/2004, Article 3

⁷¹ As per Article 4/1 of Administrative Penalties for Customs Offences and Forfeiture of Goods Implementation Directive No. 112/2016

⁷² Art 156(1) of Proclamation No.859/2014

⁷³ Customs Proclamation (Amendment) Proclamation No.1160/2019, Article 2(39)

⁷⁴ Ibid, Art 45(2)

⁷⁵ This includes the offence in relation to the custom officers duty of seizing documents, searching warehouse, and means of transport, business premises or a dwelling house

⁷⁶ Art 166(1) of Proclamation No.859/2014

five years of rigorous imprisonment.⁷⁷ Importing, exporting or attempting to export prohibited or restricted goods subject to customs clearance is punishable with rigorous imprisonment from five to ten years and a fine not less than Birr 50 thousand and not exceeding Birr 200 thousand without prejudice to the forfeiture of the goods.⁷⁸ This criminal offense is commonly known as ‘contraband’ which literally means illegally smuggling goods across the border. And it is the most frequently committed custom offense.

8.8 Complaints and Appeals

In Ethiopia, power and duties including implementing customs laws and international agreements approved and ratified by Ethiopia are given to the Ethiopian Customs commission.

Achieving and exercising the objectives and powers of Customs commission especially collecting duties and taxes and enforcing them when the taxpayer is in default, seizing and forfeiting contraband goods, means of transport, or goods violating custom laws in general will not always be achieved smoothly and disputes normally arise in the administration of customs as they would arise in any other social interactions. Hence, it is evitable that the Customs Commissions' decisions directly affect the private rights and obligations of citizens and the taxpayers at large. This demands that disputes in tax collection and other customs enforcement endeavors have to be addressed in a proper manner. For one thing, given the amount of revenue that the Customs Commission is raising, it is in the best interest of all to have an independent, impartial dispute settlement procedure accessible to all taxpayers.

8.8.1. Grievance Handling at the Customs Commission

The Customs Proclamation provides for an internal two stages of complaint review sections. These review sections are established both at branch offices and head office. A taxpayer or any person in dispute should appeal to these internal review institutions before taking an appeal to the external review of executive-branch tax tribunals (the Tax Appeal Commission) and review process conducted by a court of law.⁷⁹ The powers and duties of the two levels of complaint sections have been stipulated and the types of the complaint subject to their jurisdiction are provided in the Customs proclamation.⁸⁰ The compliant review section established at the head office has the power to review and decide on appeals on the different types of complaints. It has also a primary review power of rejection of objections against the forfeiture of goods or means of transport given by relevant departments of the Commission and submitting recommendations to the Commissioner or any officer.

⁷⁷ Ibid, Art 166(2)

⁷⁸ Ibid, Art 2(44)

⁷⁹ Articles 153-155 of the Customs Proclamation No. 859/2014

⁸⁰ Article 153 of the Customs Proclamation No.859/2014

With respect to the complaint handling procedure, any complaint or an appeal to the above-mentioned internal two stages of complaint review sections has to be submitted in writing 15 days from the date of the written decision causing grievance.⁸¹ And the complaint review sections have the obligation to communicate their decisions in writing to the complainant and his /her right to lodge an appeal.⁸² In all cases, the outcome of the above internal review process is not final and is appealable. The Customs proclamation provides for two appeal venues to be followed in order.⁸³

8.8.2. Appeal Before the Tax Appeal Commission and Courts

The first one is the appeal venue available at the Tax Appeal Commission to which any person aggrieved by the internal review decisions could lodge his grievance within a month from the date of such decision.⁸⁴ In order to lodge an appeal to the Tax Appeal Commission in matters related to decisions made with respect to payment of duties and taxes, the taxpayer is required to pay the disputed duties and taxes.⁸⁵ And the Tax Appeal Commission may not admit lodging of the appeal before such prepayment obligation is met.⁸⁶ Secondly, any person dissatisfied with the decision of the Tax Appeal Commission on the ground of error of law may appeal to the Federal High Court. The procedure to be followed while entertaining appeals at the two venues is that of procedures provided under the Income Tax Proclamation except that the pre-payment requirement to lodge before the Tax Appeal Commission and the requirement of ground of error to appeal before the Federal High Court.⁸⁷

An appeal entertained at the Tax Appeal Commission may again be taken by way of appeal before the Federal High Court on the grounds of error of law.⁸⁸ An appeal seems to end at Federal High Court as per article 155 of the Customs Proclamation but an aggrieved party could further take his case to the Federal Supreme Court and its cassation bench pursuant to the same article.

⁸¹ Ibid, Art. 154(1)

⁸² Ibid, Art.154(4)

⁸³ Ibid, Article 155(1)(3)

⁸⁴ Ibid, Article 155(1)

⁸⁵ Ibid, Article 155(2)

⁸⁷ Ibid, Article 155(4); See also Income Tax Proclamation No.286/2002 which has been repealed and its appeal procedure provisions have been provided under the Tax Administration Proclamation No. 983/2016

⁸⁸ See Art.155(3) of Customs Proclamation No.859/2014

Chapter Nine

Stamp Duties Law in Ethiopia

9.1 What is Stamp Duty?

The term stamp duty is a compound word that consists of two parts (stamp and duty). Black's Law Dictionary defines 'stamp' as an official mark or seal placed on a document especially to indicate that a required tax or duty has been paid, in which cases it is also known as revenue stamp or stamp tax.

What is the difference between tax and duty? Under the Ethiopian system of taxation, some obligations are described as taxes (for example, employment income tax, business income tax, value-added tax, and turnover tax) and others as duties (for example, customs duty and stamp duty). In its most usual signification in jurisprudence, the term duty refers to an obligation of legal, moral, or contractual character as the correlative of right. In the revenue sector, the term duty is mainly associated with imposts, customs, and other government charges. The main difference between tax and duty is that the scope of tax generally is wider in comparison to duty and the latter is the subtype of the former in most cases. A duty is a compulsory financial charge like other taxes but it's often target-specific rather than being imposed on individuals' or corporations' income or property taxes. Some sources also provide that it is both the central government and state government can impose taxes but only the central government has got the authority to levy duty.⁸⁹

A stamp duty (also known as a stamp tax or documentary stamp tax) is a tax a government imposes on selected documents that are legally required to be recorded. Stamp duties derive their name from the conventional method of enforcement of stamp duties, which is by affixing stamps. Stamp duties are invariably imposed on documents, although their impact ultimately falls on whoever benefits from the authentication and enforcement of those documents by the government. It's important to note that stamp duty is a kind of indirect tax because its incidence and burden fall on different persons.⁹⁰ However, stamp duty is a duty on instruments not on the transaction, subject matter, or the person. In short, stamp duties are transfer taxes distinguished from many other taxes due to their close association with documents that contain certain legal rights or involve the transfer of certain legal rights over the property.

⁸⁹ Surbhi S, Difference between Tax and Duty, 26 July 2018 available at <https://keydifferences.com/difference-between-tax-and-duty.html> (Last Viewed on 05/26/2022)

⁹⁰ Amit Sethi and Sunita Mishra, Stamp Duty: What Are Its Rates & Charges On Property? February 18, 2021 available at <https://housing.com/news/stamp-duty-property/> (Last Viewed on 05/26/2022)

It is also important to note some salient features of stamp duties as different from other taxes. First, there is always an element of 'quid pro quo' unlike the case in other taxes where the element of 'quid pro quo' between the taxpayer and the public authority is unlikely. There is a government department in charge of selling or affixing stamps and recording selected instruments (written documents) as a perpetual revenue source. Paying stamp duty is the legal recognition of documents and is an integral part of transactions such as the purchase or sale of property, leasing of property, registering an insurance policy, and setting up a business. Second, the method of stamp duty enforcement is also different. Denial of any legal notice to documents that are not affixed with stamp duties is a common and trademark enforcement mechanism. Looking at this mode of enforcement, stamp duty can be perceived as a voluntary tax because the tax authority cannot directly enforce its payment. In practice, the stamp duty cannot normally be avoided because until a document is duly stamped and the appropriate amount of duty paid, it cannot be relied on in civil judicial proceedings or be used for other legal purposes.

There are different types and forms of stamp duties. As far as stamp papers are concerned there are various types. For example, in relation to their connection to the judiciary, stamp papers can be Judicial and non-judicial. Judicial stamp papers are used for legal and court work while non-judicial stamp papers are used for making contracts, agreements, registration of documents, leases, or sale-purchase transactions. Stamps also can be classified as adhesive stamps or impressed stamps and, in recent times, electronic stamps.

In terms of the basis of valuation or the way documents or instruments can be charged, stamps can be **ad valorem** and **specific types**.

A specific (or 'unit' stamp duty is a duty payable as a fixed amount per unit (the quantity, volume, or nature of the document or the instrument) regardless of its value.

Ad valorem (according to value) stamp duty is imposed as a proportion of the assessed value of the document or instrument. This is a duty on the value mentioned in the documents/instrument or otherwise assessed.

In some countries, **there is a third category**, where stamp duty is payable based either upon the value mentioned in the documents or is based on the true value market price, whichever is higher. This category is not common in Ethiopia.

How do you compare the two variants?

Specific stamp duties are maintained for they are predictable, easy to understand, and administer. However, specific duties are more likely to be regressive because the duty paid is the same for different income groups unlike the case in ad valorem forms, where the duty is tied to the value in the instrument. That is, more duty is paid from the parties to expensive instruments. On the other hand, ad valorem stamp duties are less predictable, difficult to determine the amount payable and require strong tax administration capacity.

9.2 Why Stamp Duty?

The first reason for the imposition and collection of stamp duty is revenue generation. Stamp duty laws realize the goal of revenue generation by making documents legally valid and authentic to be used as valid evidence in a court of law. This is another and perhaps the main objective to levy and collect stamp duty. The payment of proper stamp duty on instruments bestows legality on the documents or instruments so that they have evidentiary value and can be admitted as evidence in a court of law. Under the Ethiopian legal system, the civil code prescribes that certain transactions (such as relating to immovable properties, made with public administration, guarantee or suretyship, insurance, and others as required by the law) are required to be made in written form. In addition, these instruments must be signed by the parties and attested by witnesses and authenticated and registered by the public authorities.⁹¹ Moreover, the law stipulates that where a special form is prescribed bylaw, there shall be no contract but a mere draft of a contract where this formality is not observed.⁹² Moreover, the law stipulates that where a special form is prescribed bylaw, there shall be no contract but a mere draft of a contract where this formality is not observed. According to Authentication and Registration of Documents' Proclamation No. 922/2015, documents required by law to be authenticated and registered (e.g. power of attorney or revocation of power of attorney, memorandum and articles of association of business organizations and other associations, and amendments thereof) shall be authenticated and registered under the pain of losing legal effect.⁹³ In the case of both mandatory and voluntary registration, the notary shall make sure the payment of stamp duty and service fee pursuant to the relevant law is made before authenticating and registering a document.

Some argue stamp duty safeguards property rights because the payment of stamp duty (and the adjuvant registration fees) in a transaction complements the legal and evidentiary value of selected instruments together with other legal requirements such as written form, signature, attestation, authentication, and registration. This is, in particular, true for stamp taxes that are common on instruments that transfer

⁹¹ Ethiopian Civil Code, 1960, Arts. 1723-25, Urban Landholding Registration Proclamation No.818/2014,

⁹² Ethiopian Civil Code, Art. 1720(1) and 2877

⁹³ Authentication and Registration of Documents Proclamation No. 922/2015 Art. 9 (1)

homes, buildings, copyrights, land, patents, and securities. For example, the stamp duty proves the transfer of rights from the seller to the buyer in a court of law. These acts of recording, depositing, and stamping a document with the relevant authority notify third parties, have evidentiary value, prevent frauds and forgeries, prevent disputes, and generally provide safety and security to the relating transactions.

Stamp duties can be seen as unattractive from an economic point of view. This lack of attractiveness stems from the fact that any tax on transactions will reduce expected welfare by discouraging mutually beneficial trades. Welfare is maximized when assets are owned by the people who place the highest value on them. The tax effect on transactions will affect who owns an asset, and so can disrupt the efficient pattern of ownership.

9.3. Power to Levy and Collect Stamp Duty

Article 96 (9) of the FDRE Constitution stipulates that the federal government levy and collect Federal stamp duties. However, the constitution including Article 97, which lists down state powers of taxation, is silent about the power to levy and collect regional stamp duties. Is it a silence that led to Article 99 of the FDRE Constitution as undesignated power of taxation? It was considered as such.

In 2004, the joint meeting of the House of Federation and the House of Peoples' Representatives held a joint meeting and decided that Article 96 (9) did not imply that state governments could not impose their own stamp sales tax and that regional governments have the power to levy and collect stamp duties on instruments executed in/ by the regional states.

The general idea is that stamp duties are collected by government departments that render the service. However, the regional departments with these functions collect stamp duties by providing federal stamps. It is instructive to ask whether a regional government ever publishes its own stamps. The answer seems to be no; regional governments appear to be mere vending shops of the federal government rather than exercising their power of taxation as decided by the joint session of the HoF and HPR. Moreover, regional stamp duty legislations are simple copies of the federal counterpart for the chargeable instruments and the rates are the same.

9.5 Designing Stamp Duty Law

a. Instruments Chargeable with Stamp Duty

In Ethiopia, Article 3 of the Stamp Duty Proclamation provides a list of twelve instruments chargeable with stamp duty.

Stamp duty is a duty on instruments of different kinds and nature during execution in accordance with the law. An instrument is a written document by which any right or obligation is or purports to be created, recorded, transferred, extinguished, limited, or extended.

Defining the term instrument is not sufficient in and of itself as stamp duty is collected only when it is registered, authenticated, and executed. Authenticating a document means signing and affixing a seal by witnessing the signing of a new or already signed document. Registration refers to recording a document in a register by giving the document an identification number and depositing it with the institution. As noted earlier not all instruments are chargeable and stamp duty is imposed on selected instruments under the law.

In general in Ethiopia, it is these 12 items described above that are defined to be dutiable both by the federal and regional governments. From the cumulative readings of articles 3 and 4 of the stamp duty law, instruments to be charged with stamp duty are exhaustively listed, and thus, except for these documents the bearers of other instruments like checks and promissory notes, are not duty-bound to pay stamp duty charges.

Rates of stamp duty

Instruments and Rates of Stamp Duty see table 2 actual page no. 263, read also Article 5 of the Stamp Duty Proclamation.

Note that as the list of instruments and the rates are well associated with the basis of valuation, the table must be read with Article 5 of the Stamp Duty Proclamation. The rates can be generally classified as ad valorem and specific rates. The schedule follows two types of approaches of modes of assessment in determining the rate that instruments with stamp duty obligations will be charged to pay. The two rates are a “flat” rate or the fixed fee where the bearers of the instruments are only required to pay the fixed amount of money determined for each instrument, and “on value” or an ad valorem rate whereby the bearers of the instruments subjected to this rate will be paid a given percentage of the value stated in such instruments. Therefore, while the amount of payment for the fixed fee rates for all similar documents is the same, the amount to be paid in the case of ad valorem depends upon the values stated in the documents, i.e. two persons with two similar documents may pay different values if the value stated in each differs.

In order to ensure that the stamp duty laws keep pace with digitalization and the introduction of other laws in the area of e-commerce and e-signature, key amendments are required for the stamp duty to be

levied on electronic records including those related to the transfer of an interest in immovable properties and shares.

Chapter Ten

Property Tax⁹⁴ and Reforms in Ethiopia

10.1 The Concept of Property Tax

Literally, property tax is a tax imposed on a property (real or personal; immovable or movable; corporeal or incorporeal) that belongs to and appropriated an individual or entity. It is also known as “ad valorem tax” for it is assessed based on a property’s value.

There are two dominant theories regarding real property tax: the benefit approach (the benefit view) and the ability-to-pay approach (the new view).⁷ According to the benefit view theory, property taxes essentially functions as a user charge on residents for the benefits they receive from the local policies funded by real property taxes. It posits that taxpayers pay real property tax for the services received from the local government and the services provided by the state commonly depend on the amount of tax paid. This way the one who benefits more from the activities of the state must pay more real property tax to the government. To identify which individuals benefit more from the activities of the state, zoning of the urban areas is very important according to this view. Benefit theory is challenged and criticized from different perspectives.

In the first place, the connection between the benefits provided and the benefits derived is against the obligatory nature of taxation and the basic principle of “no direct quid pro quo” in taxation.

Second, because expenditures are incurred for the common benefit of the general public, it is difficult to estimate the benefit an individual taxpayer received from public goods such as infrastructure and services.

The new view of the property tax is the outcome of the above criticisms against the benefit view and it puts property tax in a standard capital taxation framework. The theory ignores the benefits received by taxpayers with the belief that it has little relationship to the amount of taxes paid and focuses on its implications for income redistribution. The assumption is that the land tax is likely to be capitalized or absorbed in the future profit to be realized from the property to the extent that it is not offset by the benefits of public services. There is an assumption that property, especially immovable property, tends to

⁹⁴ The term property tax is known by different names in the literature. For example, it is known as “real estate tax”, ‘real property tax’, ‘land and building tax’, “immovable property tax” etc.

be concentrated in the hands of relatively wealthy individuals and that therefore the capital portion of the real property tax is progressive. According to this view, the tax must be imposed based on the ability to pay principle not based on the benefit provided for the taxpayer.

10.2 Rationales for Property Taxation

Property taxes especially taxes on the immovable property have many virtues. Firstly, in terms of efficiency, property tax has the potential to be a significant revenue producer, especially for subnational governments in rapidly urbanizing developing countries. The tax is difficult to evade, hide or shift because the base is immovable.

Secondly, property tax is said to be fair because an immovable property is often a primary repository of wealth and, in most societies, such properties are found concentrated in the hands of the few. Thus, the tax tends to fall more on those with the ability to pay and can be used as a means of distribution to pay for infrastructure, services, and welfare programs.

The third prominent justification in support of property tax is local government autonomy and accountability. In many countries, property tax is taken as an effective tool for decentralization and reducing local government dependence on fiscal transfers from higher tiers of government. In most jurisdictions, property taxes are designed as local taxes i.e. levied, collected, and administered locally and used to finance local expenditures.

Fourthly, property tax is also used to promote efficient use of land and building and to counter speculation, price booms, and volatility. Immovable are the most important and scarce resources in every society. Property tax helps to improve land use and planning for it can be designed to encourage or shape real estate developments. Obviously, property tax enhances the protection and security of property rights across all types of properties.

Despite its virtues, property tax is not free from limitations and criticisms. Many agreed that property tax is not popular with taxpayers and politicians as Rosengard characterized it as the “tax everyone loves to hate”. Firstly, as a direct tax, property tax is visible or noticeable and politically sensitive. The tax on the property is not withheld at source like the case in income tax or is it is not paid in small amounts with each daily purchase like the sales tax.

The second challenge with property tax is the cash flow or liquidity problem. Property tax is imposed on the imputed value and does not reflect a real cash flow or the taxpayer’s real current situation. Sometimes taxpayers (especially elderly or senior citizens) can be asset-rich but cash-poor.

Thirdly, the tax is criticized for regressivity and inequitably.

Fourthly, it is argued that property tax revenues are inelastic compared to income or sales taxes.

Fifth, volatility is also seen as a problem as the tax rise and fall quickly with changes in property values in the market. The other reason taxpayers dislike the property tax is that they may not agree with or indeed understand the base of the tax. Property tax is inherently a presumptive tax because its value is determined by someone that serves as the basis on which to assess the tax. There is no actual sale or generation of income.

Sixthly, there is also a fear that tax payments can be quite lumpy and often bear a little direct relationship to public service delivery. Tax administration can become costly, involving property information management, valuation, billing, collection, and enforcement. Property tax is also criticized for its negative effects on housing, land use, and urban development.

Finally, there is a concern that although property tax is said to be local, the tax is not usually under full local control. In most jurisdictions, property tax is not truly local tax because local governments have no or less discretion for the levying (determination of tax base, rate, valuation, and exemptions rules) and administration (assessment, collection, enforcement, and dispute settlement procedures) of the tax. Even when there is some local discretion in the law, higher-level governments often reserve some powers and oversee the design and operation of the local property tax.

10.3 Historical Developments in Property Taxes

a. Historical Developments in the World

b. Historical Developments in Ethiopia

10.4 Power of Taxation

Property tax is well-suited to be local taxes for it falls upon assets that clearly fall within a jurisdiction. There is no however clear consensus on the ideal distribution of responsibilities in property tax administration between central, regional, and local levels of government.

The power of taxation will be one of the central questions in the property tax reform of Ethiopia. Ethiopia's government system is organized into at least three tiers: federal, regional, and local governments. Despite the absence of constitutional recognitions and their revenue autonomy is rather limited, local governments provide a plethora of services. As already mentioned in chapter two, the FDRE Constitution established a federal form of government and the division of power between the federal

government and constituent units is one of the hallmarks of federations. Accordingly, the Constitution bestows the power to enact laws for the “utilization of land and natural resources” to the federal government and the power to “administer land and natural resources” to the regional governments.⁹⁵ The Constitution also divides the fiscal power of taxation into four headings: federal power of taxation, state power of taxation, concurrent power of taxation, and undesignated power of taxation.⁹⁶ The constitution is silent about the expenditure responsibilities and revenue powers of local governments except that it states that “adequate power should be allocated to the lowest unit of government”.⁹⁷ Local governments are the neglected part of government entities while they have access to so many resources such as land and other properties. There is no specific mention of property tax under articles 96, 97, and 98. The only thing mentioned in the constitution is the power of regional states to determine and collect fees for land usufruct rights, taxes on income derived from private houses and other properties within the state, and rent on houses and other properties they own. The constitutional assignment of real property-related revenues to the regional government seems justifiable in that, at least legally speaking; the federal government has no land administered under its own jurisdiction.

It should be noted that both urban and rural lands in Ethiopia are owned by the state and the public, and an individual has a full property right for the real property he/she built and for the permanent improvements he/she brings about on the land by his labor or capital.⁹⁸ Whatever the reason is it is clear that the power of taxation on real property is an open question. The most important question that must be addressed is whether it is really silent that can be entertained as an undesignated tax in the language of article 99 or it can still be interpreted for example by reading other constitutional provisions such as Article 52 (2) (d) and Article 97 (6) of the constitution. This is because it can be argued that property tax is simply one type of revenue collected from land and landed property and tax collection is purely an administrative activity. On the other hand, it can be argued that there is no term like property tax in the Constitution and it is an undesignated tax that must be determined by the two-third majority vote joint in the joint session of the House of Federation and the House of People’s Representatives. What about local governments? In many jurisdictions, property tax is a local tax. Is the Constitutional amendment mandatory to assign the power to tax property to local governments?

With the constitutional silence with respect to property tax (by name), regions have continued levying and collecting the property tax saving all the limitations. For its part, the federal government has not confronted the levying and collecting of taxes and other charges on real property by regional

⁹⁵ FDRE Constitution, Article 51 (5), 55 (2, a), and Article 52 (2) (d)

⁹⁶ FDRE Constitution, Art.96-99

⁹⁷ FDRE Constitution, Article 50 (4)

⁹⁸ FDRE Constitution, Article 40 (3) & (7)

governments. This practice continues with the spirit of Urban Land Rent and Urban Houses Tax Proclamation No. 80/1976. Meaning as the federal government doesn't have access to the there is no land under its jurisdiction.

As the country is under property tax reform, the power of taxation on real property tax in Ethiopia can be contested by both the state and the federal governments. In other words, all the powers of levying, collecting, and utilizing the revenue can be the subject of arguments. To start, levying power is a legislative power to make laws on the issue of property tax. As the country is awakening the sleeping giant, one can argue that this power can be given to the federal government. If the federal government is to participate and show its power in the property tax reform it should be levying the tax. This can be justified by the Constitutional provision which entrusts the Federal Parliament with the power to enact specific laws on the utilization of land and other natural resources; property taxes can be considered one tool of real property management.⁹⁹ However, this type of law will be the framework for legislation under which the state governments will act accordingly. This helps to set national standards on the use of innovative scientific tools for property identification, registration, and cadastral systems as well as for valuation and billing. The need to harmonize the new system can still be another justification to support the argument for the federal government to legislate framework law for real property tax. Exaggerated differences among regional property tax legislation would distort investment distribution, broaden horizontal fiscal imbalance, and finally defeat the constitutional endeavor to establish and sustain one political-economic community in the country as a whole. Obviously, States have the power to administer land and other natural resources and taxation is one element of land administration.¹⁰⁰

10.5 Main Design Features of Property Taxation

c. Tax Bases: What shall be taxed?

The first important question with respect to the tax base is what shall be taxed or what types of property are subject to tax.

The Ethiopian legal system classifies all goods (the subject matter of property rights) as either movable or immovable.⁸⁵ Furthermore, it considers land and buildings as two separate types of immovable and provides for the private ownership of both. The FDRE Constitution envisages that ownership of land is vested in the state and the people, while ownership of the building is given to the individual.¹⁰¹ The Constitution assigns the power to levy and collect the various tax and non-tax revenues from land and

⁹⁹ FDRE Constitution, Article 55(2) (a)

¹⁰⁰ FDRE Constitution, Article 50(4)

¹⁰¹ FDRE Constitution, Article 40(3), (7)

buildings to the regional states that attempts to decentralize the power to urban and rural local governments. Thus, land and buildings are separate things and are owned by two separate bodies under the Ethiopian legal system. The determination of tax bases in the ongoing property tax in the country will be guided by these historical and constitutional dictates.

Article 3 of the Draft Federal Prototype Proclamation, provides that property tax shall be levied on all urban land and buildings located in Ethiopia unless otherwise expressly specified by this Proclamation.

d. Property Tax Assessment and Valuation

Tax assessment or valuation is determining the value to which the tax rate will be applied. In the literature, there are four recognized assessment methodologies commonly used by countries independently or in combination. These are;

1. Area-based assessment (area-based taxation)
2. Market value assessment (market value as a tax base)
3. Rental value assessment (income-based valuation), and
4. Land (or site) value systems

Under the area-based assessment method, each unit of property is taxed at a specific rate per area unit of land and improvements or structures. The advantage of the area-based system is that it's simple, transparent, and fairly easily administrable. Unlike value-based systems, area-based systems don't require a parcel-based valuation. This makes the system affordable to even countries with no or only a fledgling property market. However, it's not free from defects. In the first place, it hardly seems fair for the tax to be imposed based on the size or physical characteristics of a property without considering the quality of any improvements or value increments. There is also a fear that an area-based system cannot generate adequate revenue growth. It can only generate increased revenue through growth in the number of buildings, or by periodic and unpopular tax rate increases.

Chapter Eleven

The Law of Tax Administration¹⁰² and Procedure in Ethiopia

Tax administration is considered the nucleus of a tax system. Tax laws are not operative and meaningful without the necessary institutional readiness and administration mechanisms.

¹⁰² Federal Tax Administration Proclamation No. 983/2016

11.1 Tax Administration: Definitional Exercise

Tax administration is a mechanism that gives a life to the corpus of tax laws. As Professor Richard has noted, “tax administration is not only about collecting the most revenues, it also encompasses facilitating tax compliance issues, treating tax-payers as clients, efficiency in tax collection costs, and utilization of the tax collected.”

11.2 The Institutional Aspect of Tax Administration

11.3 The Rights and Duties of Taxpayers and Tax Officers

Defining the rights and duties of taxpayers as well as tax officers encourages tax compliance from the taxpayers’ side in return for fair, transparent, and certain service. It also discourages and penalizes tax avoidance and tax evasion practices of taxpayers.

11.3.1. Rights of Taxpayers

Enhancing taxpayers’ rights is believed to increase voluntary tax compliance as it builds trust and confidence between the taxpayers and tax officials.

a. Right of appeal

Taxpayers are entitled to appeal against decisions of the tax authority. Accordingly, any taxpayer that is aggrieved of the tax authority’s decision can bring its grievance before the Tax Review Committee (a committee established under the Ministry of Revenue).¹⁰³ Further, if the taxpayer is not satisfied with the decision of the Tax Review Committee, the Federal Tax Administration Proclamation provides for the opportunity to appeal to the Federal Tax Appeal Commission.¹⁰⁴ The taxpayer also has the right to take the case to the courts if it is not satisfied with the decision of the Federal Tax Appeal Commission.¹⁰⁵

However, it should be noted that there are technical barriers that may hinder the taxpayer from exercising its right of appeal. For instance, a taxpayer who wants to appeal to the Federal Tax Appeal Commission must deposit 50% of the actual tax. Without doing so, the taxpayer is not entitled to appeal.¹⁰⁶

Once the Federal Tax Appeal Commission renders a decision, the aggrieved taxpayer can appeal an adverse decision to the courts only on issues of law and only when the taxpayer pays 75% of the actual tax.¹⁰⁷ It follows that a taxpayer cannot appeal on issues of fact and needs to pay the remaining 25% of the

¹⁰³ Federal Tax Administration Proclamation No. 983/2016, Article 55

¹⁰⁴ Ibid, Article 56

¹⁰⁵ Ibid, Article 57 and 58

¹⁰⁶ Ibid, Article 56(2)

¹⁰⁷ Ibid, Article 57(3 & 4)

actual tax (as 50% would be deposited during appeal to the Federal Tax Administration Proclamation) even on issues of law.

b. Right to refund of unduly paid amount

The Federal Tax Administration Proclamation guarantees taxpayers the right to request a refund in different situations. For example, taxpayers may request refund of late payment penalties¹⁰⁸ and interest¹⁰⁹ if the tax to which the penalty or interest relates is found not to have been payable. It also allows refund when the tax credits allowed to a taxpayer for a withholding tax or advance tax payments exceed the income tax liability of the taxpayer.¹¹⁰ Moreover, the taxpayer is entitled to interest (on banks' lending rate) when the tax authority fails to refund timely.¹¹¹ Finally, the taxpayer is entitled to a refund when there is an overpayment of tax.¹¹²

c. Right to amend assessments

¹⁰⁸ Ibid, Article 105(3)

¹⁰⁹ Ibid, Article 37(3)

¹¹⁰ Ibid, Article 49(1)(c)

¹¹¹ Ibid, Article 49(3)

¹¹² Ibid, Article 5